THE COMPLETE BUSINESS KNOWLEDGE ENCYCLOPEDIA

الموسوعة الشاملة للمعرفة في عالم الأعمال

VOLUME 9

Document Library, Master Reference, Exercises and Learning Roadmap

مكتبة الوثائق والمراجع الرئيسية والتمارين وخطة التعلّم

Every Essential Business Concept, Term, Process, Document, Financial Instrument, and Commercial Practice You Need to Understand the Real Business World

IN THIS VOLUME

- The Professional Business Document Library (annotated templates)
- Part XXIII — Master Reference Materials
- Exercise bank with full solutions (easy, intermediate, advanced)
- Six-month learning roadmap and final assessment

A practical reference for finance and computer-science graduates entering the business world · First edition — October 2026

About this volume

This volume is part of a ten-volume reference collection. Chapter numbers run continuously across the collection, so a reference such as “§47.3” identifies the same section in every volume, in the master index (Volume 10), and in the learning roadmap.

Volume	Title
Vol. 1	Foundations and the Language of Business
Vol. 2	How Businesses Work — Accounting and Financial Statements
Vol. 3	Corporate Finance, Economics and Business Mathematics
Vol. 4	Banking, International Trade and Treasury
Vol. 5	Commercial Operations — Sales, Supply Chain, Insurance and Risk
Vol. 6	Investment, Capital Markets, Commodities and Market Intelligence
Vol. 7	Law, Entrepreneurship, Management and Technology
Vol. 8	Professional Practice — Communication, Deals and Advanced Thinking
Vol. 9	**Document Library, Master Reference, Exercises and Learning Roadmap**
Vol. 10	Master Table of Contents, Glossary and Unified Index

Important notices

- **Educational purpose.** The content explains general business, financial, legal and commercial concepts. It is not legal, tax, accounting, investment or regulatory advice for any specific situation.
- **Fictional companies and transactions.** All companies, people, banks, documents, deals and figures used in examples, case studies and document templates are fictional training simulations unless an institution, standard or law is explicitly identified as real. Simulated transactions are never real completed transactions.
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LIBRARY

The Professional Business Document Library

مكتبة وثائق الأعمال المهنية

This library contains annotated educational templates of the documents professionals meet most often. For each document you will find its **purpose**, its **users**, the **important fields**, **common mistakes** and the **commercial consequences** of getting it wrong, followed by a training template.

COMMON MISTAKES · **Important**

Every document in this library is a **fictional training template**. Names, companies, banks, numbers and references are invented. The templates are not legally valid instruments, must not be used as if issued by any bank, carrier, chamber of commerce, insurer, government or other institution, and do not imitate any real organisation's forms. For regulated or jurisdiction-specific documents (letters of credit, bills of lading, certificates of origin, insurance certificates, customs documents, contracts), verify the current legal, regulatory and institutional requirements and use the official forms of the relevant institution before any real use.

LEARNING OBJECTIVES · **Learning objectives for the Document Library**

- Recognise each document and know who issues and who relies on it.
- Read every important field and understand its commercial consequence.
- Prepare internal documents (plans, budgets, reports, memos, minutes) to a professional standard.
- Check external documents for consistency and risk.

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CHAPTER 126

Planning, Financial and Management Documents

LEARNING OBJECTIVES · In this chapter

Business plan, financial forecast, annual budget, management report, income statement, balance sheet, cash flow statement, financial model, project budget, board presentation, risk register, meeting minutes and professional business email.

126.1 Business plan

Aspect	Description
Purpose	Explain the opportunity, strategy, operations and financial plan to obtain funding, partners or internal approval
Users	Founders, investors, banks, grant bodies, boards
Important fields	Executive summary; market and customer evidence; business model; competition; go-to-market; operations; team; risks; financial plan with assumptions; funding request
Common mistakes	Top-down market sizes; no evidence of demand; hockey-stick forecasts without drivers; ignoring working capital; vague use of funds
Consequences	Rejected funding; under-capitalisation; credibility loss

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Business plan — outline template (Cedar Kitchenware, fictional)

1. **Executive summary** (1 page): what we do, for whom, why now, traction, financials summary, funding needed and use.
2. **Problem and opportunity:** customer pains with evidence (interviews, data).
3. **Solution and value proposition:** product, differentiation, pricing.
4. **Market:** segments; bottom-up SAM/SOM; trends.
5. **Competition:** alternatives; our advantages; risks of imitation.
6. **Business model and unit economics:** revenue streams; contribution per order/customer; CAC; LTV.
7. **Go-to-market:** channels, sales process, partnerships, marketing plan and budget.
8. **Operations:** sourcing, logistics, suppliers, systems, quality, licences.
9. **Team and organisation:** founders, key hires, advisers, governance.
10. **Financial plan:** assumptions table; 3–5-year P&L, balance sheet, cash flow; break-even; funding requirement; scenarios.
11. **Risks and mitigation.**
12. **Funding request:** amount, instrument, use of funds, milestones.
13. **Appendices:** CVs, market data, customer letters, detailed model.

126.2 Financial forecast

Aspect	Description
Purpose	Project future results and cash needs based on explicit drivers

Aspect	Description
Users	Management, lenders, investors, treasury
Important fields	Assumptions (volumes, prices, costs, working-capital days, capex, financing); P&L; balance sheet; cash flow; KPIs; scenarios
Common mistakes	No link between P&L and cash; constant working capital with growing sales; no downside case
Consequences	Liquidity surprises; covenant breaches; poor decisions

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Financial forecast — summary page (fictional, USD 000)

	FY1	FY2	FY3
Key assumptions			
Units sold	120,000	150,000	180,000
Average price	25.0	25.5	26.0
Gross margin	32%	33%	33%
DSO / DIO / DPO (days)	60 / 75 / 45	58 / 70 / 50	55 / 70 / 50
Income statement			
Revenue	3,000	3,825	4,680
Gross profit	960	1,262	1,544
Operating expenses	(720)	(830)	(950)
EBITDA	240	432	594
Cash flow			
EBITDA	240	432	594
Change in working capital	(310)	(125)	(110)
Capex	(150)	(80)	(90)
Tax and interest	(40)	(70)	(110)
Free cash flow	**(260)**	**157**	**284**
Peak funding need (from monthly model)	420	—	—

Fictional training template.

126.3 Annual budget

Aspect	Description
Purpose	Approved financial plan and targets for the year, by month and by responsibility centre
Users	Management, budget owners, board
Important fields	Revenue by product/customer/region; COGS; opex by cost centre; headcount; capex; cash budget; KPIs; assumptions
Common mistakes	Incremental budgeting without challenge; ignoring seasonality; no cash budget; sandbagging
Consequences	Misallocated resources; unreliable performance assessment

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Annual budget — cost-centre sheet (fictional)

Cost centre: Logistics & Warehouse (CC-310) · **Budget owner:** Operations Manager · **Year:** FY2027

Line (USD 000)	Q1	Q2	Q3	Q4	Total	Driver / assumption
Salaries (22 FTE)	165	165	172	172	674	3% raise from Q3
Overtime	12	8	20	25	65	Peak Q3–Q4
Warehouse rent	90	90	90	90	360	Lease contract
Utilities	22	28	35	25	110	Cooling in summer
Outbound freight	140	150	175	190	655	2.2% of sales
Equipment maintenance	15	15	15	15	60	Service contract
Total opex	**444**	**456**	**507**	**517**	**1,924**	
Capex: 2 forklifts	—	70	—	—	70	Replacement
KPIs: cost per order ≤ USD 3.20; OTIF ≥ 97%; inventory accuracy ≥ 99%						

126.4 Management report

See the full example in Chapter 104 (Volume 7). Purpose: explain performance against budget and prior year, forecast the year, highlight risks and request decisions. Key fields: headline summary; P&L, cash and balance-sheet KPIs vs budget; variance explanations; forecast; actions with owners. Common mistakes: data without explanations; no forecast; no decisions requested.

126.5 Income statement, balance sheet and cash flow statement

Aspect	Description
Purpose	Report performance, financial position and cash flows
Users	Investors, lenders, management, tax authorities, regulators
Important fields	Revenue, gross profit, operating profit, net income; assets, liabilities, equity; operating, investing, financing cash flows; comparatives; notes
Common mistakes	Misclassification (current vs non-current; operating vs financing); missing accruals; unreconciled cash; inconsistent periods
Consequences	Misleading decisions; audit qualifications; covenant errors

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Financial statements — compact template (Levant Office Solutions, fictional, USD)

Statement of profit or loss for the year ended 31 December

	This year	Last year
Revenue	1,300,000	1,150,000
Cost of sales	(790,000)	(705,000)
Gross profit	**510,000**	**445,000**
Operating expenses (salaries, rent, other)	(284,000)	(262,000)
Depreciation	(34,000)	(30,000)
Operating profit	**192,000**	**153,000**

	This year	Last year
Finance costs	(12,000)	(14,000)
Profit before tax	**180,000**	**139,000**
Income tax	(27,000)	(20,850)
Profit for the year	**153,000**	**118,150**

Statement of financial position at 31 December

	This year	Last year
Property, plant and equipment (net)	286,000	240,000
Inventories	150,000	120,000
Trade receivables	110,000	80,000
Prepayments	4,000	—
Cash	88,000	50,000
Total assets	**638,000**	**490,000**
Share capital	100,000	100,000
Retained earnings	293,000	160,000
Total equity	**393,000**	**260,000**
Bank loan (of which current: 30,000)	120,000	150,000
Trade payables	90,000	70,000
Accrued expenses	8,000	10,000
Tax payable	27,000	—
Total liabilities	**245,000**	**230,000**
Total equity and liabilities	**638,000**	**490,000**

Statement of cash flows (indirect method)

	This year
Profit for the year	153,000
Depreciation	34,000
Increase in tax payable	27,000
Working-capital changes (receivables −30,000; inventory −30,000; prepayments −4,000; payables +20,000; accruals −2,000)	(46,000)
Net cash from operating activities	**168,000**
Purchase of equipment	(80,000)
Loan repayment	(30,000)
Dividends paid	(20,000)
Net increase in cash	**38,000**

Training template based on the worked example in Chapter 22 (Volume 2); last-year figures for profit lines are illustrative. Real statements require notes, accounting policies and compliance with the applicable framework.

126.6 Financial model

Aspect	Description
Purpose	Integrated, driver-based projection for decisions (investment, financing, valuation)
Users	Analysts, management, banks, investors
Important fields	Cover/contents; inputs and scenarios; calculations (revenue build, costs, working capital, capex, debt, tax); statements; outputs (KPIs, valuation, covenants); checks
Common mistakes	Hard-coded numbers; circularity errors; balance sheet not balancing; no version control
Consequences	Wrong decisions with false precision

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Financial model — sheet structure (template)

Sheet	Contents	Rules
Cover	Purpose, version, author, date, status	Version log
Inputs	All assumptions by scenario (base/upside/downside); switch cell	Blue font for inputs; units and sources
Revenue	Volume × price by product/region	One formula per row
Costs	Variable and fixed costs; headcount	Linked to inputs
Working capital	DSO, DIO, DPO → balances	Monthly for seasonal businesses
Fixed assets	Capex schedule; depreciation	By asset class
Debt	Facilities, drawdowns, repayments, interest; revolver plug	Circularity switch
Tax	Taxable profit; losses carried forward; payment timing	—
Statements	P&L, balance sheet, cash flow	Balance check = 0
Outputs	KPIs, covenants, NPV/IRR, charts	Clear labels
Checks	Summary of all error checks	Must show “OK”

126.7 Project budget

Aspect	Description
Purpose	Estimate and control the cost of a project
Users	Sponsor, project manager, finance, steering committee
Important fields	Work packages; one-off vs recurring costs; internal vs external; capex vs opex; phasing; contingency; funding approvals
Common mistakes	Omitting internal staff costs, data migration, training; no contingency; no link to benefits
Consequences	Overruns; unfunded commitments

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Project budget — ERP implementation (fictional, USD 000)

Work package	External	Internal	Total	Capex/Opex	Phasing (Q1/Q2/Q3/Q4)
Software subscription (year 1)	180	—	180	Opex	45/45/45/45

Work package	External	Internal	Total	Capex/ Opex	Phasing (Q1/Q2/ Q3/Q4)
Implementation partner	420	—	420	Capex*	100/150/120/50
Internal project team (backfill)	—	160	160	Opex	40/40/40/40
Data migration and cleansing	60	40	100	Opex	10/50/40/0
Integrations (bank, CRM, e-invoicing)	90	20	110	Capex*	0/40/50/20
Training and change management	35	25	60	Opex	0/10/30/20
Contingency (20%)			206	—	—
Total			**1,236**		
*Capitalisation of implementation costs depends on accounting standards and arrangement type (e.g., cloud computing arrangements); confirm with auditors.					

126.8 Board presentation

Aspect	Description
Purpose	Inform the board and obtain decisions
Users	Directors, CEO, CFO, company secretary
Important fields	Decision requested; executive summary; context; options and analysis; financial impact; risks; recommendation; resolution wording
Common mistakes	Too many slides; decision buried; no alternatives; no risk analysis
Consequences	Delayed or poor decisions; governance weaknesses

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Board paper — cover template (fictional)

Board of Directors — Gulf Industrial Supplies (fictional) · Meeting of 20 May · Agenda item 4 · **For decision**
Title: Approval of USD 2.2m cold-storage warehouse in Dammam
Decision requested: Approve capital expenditure of USD 2.2m and a USD 1.5m term-loan drawdown.
Executive summary: NPV USD 0.28m at 11% hurdle; IRR 15.5%; payback 3.7 years; key risk third-party occupancy, mitigated by pre-letting 50% before construction.
Options considered: (1) continue renting (rising costs); (2) build (recommended); (3) long-term lease of an existing facility (limited availability).
Financial impact: EBITDA +USD 0.65m from year 2; leverage peaks at 2.6× (covenant 3.0×).
Risks: construction overrun; occupancy; energy costs — mitigations in appendix.
Proposed resolution: "The Board approves the construction of the Dammam cold-storage facility at a cost not exceeding USD 2.2m and authorises the CEO and CFO to sign the construction contract and term-loan drawdown."

126.9 Risk register

See the template in Chapter 76 (Volume 5). Key fields: ID, risk description (cause–event–consequence), likelihood, impact, score, existing controls, actions, owner, due date, KRI, status. Common mistakes: vague risks ("market risk"), no owners, never updated.

126.10 Meeting minutes

Aspect	Description
Purpose	Record decisions, actions and key discussions
Users	Participants, absent stakeholders, auditors, regulators (board minutes)
Important fields	Date, attendees, apologies, agenda items, decisions, action items with owners and deadlines, next meeting
Common mistakes	Transcript-style minutes; unclear decisions; no owners
Consequences	Disputes about what was agreed; actions not done; governance gaps

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Meeting minutes — template (fictional)

Meeting: Monthly Commercial Review · **Date:** 12 June · **Chair:** Commercial Director
Attendees: Sales Director, CFO, Logistics Manager, Credit Manager · **Apologies:** Marketing Manager

#	Item	Discussion summary	Decision	Action	Owner	Due
1	May results	Revenue −4% vs budget; margin −1.2 pt (freight)	Implement freight surcharge on small orders	Draft customer notice	Sales Director	19 June
2	Overdue receivables	Two contractors > 120 days (USD 1.6m)	Stop new orders without payment security	Inform customers; request SBLC	Credit Manager	15 June
3	New framework tender	Utility tender closes 30 June	Bid at 18% target margin	Prepare bid	Commercial Director	26 June

Next meeting: 10 July.

126.11 Professional business email

See the templates in Chapter 113 (Volume 8): subject with topic and action; purpose in the first sentence; facts; request with deadline; courteous close. Common mistakes: vague subjects, buried requests, emotional tone, commitments beyond authority.

PRACTICE · Practice questions on planning and management documents

1. Identify three weaknesses in a business plan whose market section says “The global food market is worth USD 9 trillion; capturing 0.001% gives us USD 90m.”
2. In the annual budget template, why might utilities peak in Q3?
3. Rewrite this minute: “Discussed receivables. Will follow up.”

ANSWER · Answers to the practice questions on planning and management documents

1. Top-down TAM with no relevance to the actual serviceable market; no evidence of customer demand or reachable channels; ignores competition and pricing; no bottom-up build (customers × purchases × price).
2. Summer cooling loads in hot climates (and possibly higher production for seasonal demand).
3. “Receivables over 120 days total USD 1.6m (two contractors). Decision: no new orders to these customers without payment security. Action: Credit Manager to request SBLCs and report status by 15 June.”

CHAPTER 127

Commercial and Trade Documents

LEARNING OBJECTIVES · In this chapter

Purchase order, request for quotation, supplier quotation, procurement comparison sheet, sales proposal, sales contract, distribution agreement, non-disclosure agreement, commercial invoice, packing list, bill of lading, certificate of origin, insurance certificate, shipment cost calculation and commodity trade P&L.

127.1 Purchase order

Aspect	Description
Purpose	Buyer's formal order; becomes a contract when accepted
Users	Buyer's procurement, supplier, warehouse (receiving), accounts payable (three-way match)
Important fields	PO number; buyer and supplier details; item codes and descriptions; quantities and units; unit prices and currency; Incoterms rule and named place; delivery dates; payment terms; reference to terms and conditions; approvals
Common mistakes	Wrong units of measure; missing Incoterms; conflicting terms with supplier's acknowledgement; issued after delivery ("retrospective POs")
Consequences	Disputes over price and delivery; failed three-way match; control weakness

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Purchase order (training template)

PO No.: AW-PO-2026-0457 · **Date:** 21 March · **Buyer:** Al-Waha Industrial Supplies (fictional), Riyadh · **Supplier:** Anatolia Pipe Trading (fictional), Istanbul
Supplier quotation ref.: APT-Q-118 dated 14 March

Line	Item code	Description	Qty	Unit	Unit price (USD)	Amount (USD)
1	GP-2-S40	Galvanised steel pipe ASTM A53 Gr. B, 2", Sch. 40, 6 m	70	MT	905.00	63,350.00
2	GP-3-S40	Galvanised steel pipe ASTM A53 Gr. B, 3", Sch. 40, 6 m	50	MT	905.00	45,250.00
					Total	**108,600.00**

Delivery: CFR Dammam, Incoterms® 2020; lot 1 shipment by 31 May, lot 2 by 31 July · **Payment:** 10% advance against advance-payment guarantee; 90% by L/C at 60 days from B/L date · **Documents:** mill test certificates, certificate of origin, conformity certificates · **Terms:** buyer's general terms of purchase (attached) apply; supplier to acknowledge within 3 business days · **Approved by:** Procurement Manager / Finance Manager (per DoA)

127.2 Request for quotation

See the template in Chapter 69 (Volume 5). Key fields: specifications, quantities, delivery terms, required documents, evaluation criteria, closing date, compliance declarations.

127.3 Supplier quotation

Aspect	Description
Purpose	Supplier's price and terms offer
Users	Buyer's procurement and finance; supplier's sales
Important fields	Validity; price basis (Incoterms); lead time; MOQ; payment terms; exclusions; price-adjustment conditions; specifications offered vs requested
Common mistakes (buyer side)	Comparing quotes on different Incoterms or specs; ignoring validity and exclusions
Consequences	Choosing an apparently cheap offer that costs more

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Supplier quotation (training template)

Quotation APT-Q-118 · Date 14 March · Valid until 13 April (subject to steel price change > 5%)
To: Al-Waha Industrial Supplies (fictional) · **From:** Anatolia Pipe Trading (fictional)

Item	Specification	Qty	Price (USD/MT)	Basis
Galvanised pipe 2" Sch. 40	ASTM A53 Gr. B, zinc coating ≥ 550 g/m²	70 MT	905	CFR Dammam
Galvanised pipe 3" Sch. 40	Same	50 MT	905	CFR Dammam

Lead time: 35 days after receipt of advance and L/C · **Packing:** hexagonal bundles, steel-strapped, each with tag · **Payment:** 10% advance against our bank's APG; 90% L/C at 60 days from B/L · **Tolerance:** ±5% quantity · **Excluded:** destination port charges, import duties, inspection at destination · **Inspection:** buyer may inspect at mill at its cost.

127.4 Procurement comparison sheet

See the worked example in Chapter 69 (Volume 5). Essential columns: normalised price to a common delivery point, duties and charges, payment-terms effect, quality cost, lead-time/stock effect, total landed cost, qualitative scores (quality, reliability, financial strength), weighted total, recommendation and approvals.

127.5 Sales proposal

See the full annotated proposal in Chapter 65 (Volume 5). Key fields: executive summary with client objectives and value; scope and exclusions; service levels and remedies; implementation plan; pricing and adjustment; commercial terms; validity; next steps.

127.6 Sales contract (supply of goods)

Aspect	Description
Purpose	Binding agreement for the sale of goods
Users	Seller, buyer, banks (for L/C consistency), arbitrators
Important fields	Parties; goods and specifications; quantity and tolerance; price, currency and adjustments; Incoterms rule; delivery schedule; inspection and acceptance; payment terms and security; documents; title and risk; warranties and claims procedure; LDs; force majeure; sanctions/compliance; limitation of liability; termination; law and disputes
Common mistakes	Payment terms inconsistent with the L/C; no claims procedure or time limits; vague quality standard; missing title-transfer clause

Aspect	Description
Con-sequences	Unenforceable claims; documentary discrepancies; disputes

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Sales contract — key clauses (training extract)

Contract No. NC-SA-2026-03 between Nile Ceramics (fictional), Seller, and Desert Homes Retail (fictional), Buyer.

1. **Goods:** porcelain floor tiles, sizes and grades per Annex 1 (first grade per ISO 13006 classification as specified).
2. **Quantity:** 1,500,000 m² per contract year; minimum 1,200,000 m²; monthly call-offs with 45 days' notice; ±5% per shipment.
3. **Price:** USD 4.00/m² CFR Dammam, Incoterms® 2020, fixed for 12 months; annual adjustment per Annex 2 (gas and freight indices, 50/50 sharing beyond ±8%).
4. **Payment:** 90 days from B/L date by bank transfer; Buyer to maintain an SBLC for USD 600,000 in Seller's favour.
5. **Inspection:** pre-shipment inspection by Buyer's nominated inspector; certificate final as to quality and quantity at loading, except for latent defects notified within 6 months.
6. **Title:** title passes on payment in full (subject to applicable law); risk passes per Incoterms.
7. **Claims:** written notice within 30 days of discharge with surveyor's report; Seller to replace or credit.
8. **Performance guarantee:** 5% of annual value, URDG 758, demand to be supported by a statement of breach.
9. **Force majeure:** per ICC Force Majeure Clause (as adapted), excluding payment obligations.
10. **Compliance:** anti-bribery; sanctions; product conformity at Seller's cost.
11. **Limitation:** neither party liable for indirect or consequential loss; total liability capped at contract-year value, except fraud and wilful misconduct.
12. **Law and disputes:** English law; arbitration under the rules of a named institution; seat in a neutral jurisdiction.

127.7 Distribution agreement

Key clauses (see Chapter 96 (Volume 7)): appointment and territory; exclusivity and conditions; products; minimum targets; prices and payment; orders and delivery; marketing and MDF; trademarks; service and spare parts; reporting; competition-law compliance; term and termination; consequences of termination (stock buy-back, transition); law and disputes.

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Distribution agreement — extract (training)

Clause 4 — Exclusivity and minimum purchases. 4.1 The Principal appoints the Distributor as its exclusive distributor of the Products in the Territory for the Initial Term, provided the Distributor purchases at least the Minimum Annual Quantities in Schedule 3. 4.2 If the Distributor fails to purchase the Minimum Annual Quantity in any Contract Year, the Principal may, by 60 days' written notice, (a) convert the appointment to non-exclusive, or (b) terminate this Agreement, unless the shortfall is cured within the notice period.
Annotation: links exclusivity to performance and gives the principal proportionate remedies; check mandatory local rules on termination of distributors/agents.

127.8 Non-disclosure agreement

Key elements are listed in Chapter 96 (Volume 7).

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Mutual NDA — core operative clause (training)

"Each Party (the 'Recipient') shall keep confidential all Confidential Information disclosed by the other Party (the 'Discloser') and shall use it solely for the Purpose. The Recipient may disclose Confidential Information only to its directors, employees and professional advisers who need to know it for the Purpose and who are bound by obligations of confidentiality no less protective than this Agreement. These obligations do not apply to information that (a) is or becomes public other than through breach, (b) was lawfully known to the Recipient before disclosure, (c) is independently developed, or (d) is required to be disclosed by law, provided the Recipient gives prompt notice where lawful. These obligations last for three years from the date of this Agreement."

127.9 Commercial invoice

See the annotated template in Chapter 54 (Volume 4). Key checks: issuer = seller (beneficiary), addressee = buyer (applicant), description matching the contract/L/C, quantities, unit prices, total, currency, Incoterms rule, origin, HS code where required, marks, signature where required.

127.10 Packing list

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Packing list (training template)

Shipper: Pearl River Lighting Co., Ltd (fictional) · **Consignee:** to order · **Notify:** Cedar Bright Trading SAL (fictional) · **Invoice:** PRL-2026-0418 · **B/L:** TRS260418 · **Container:** TRSU 123456-7 (40HC), seal 0098812

Carton Nos.	Description	Qty per carton	Cartons	Total qty	Net wt/ctn (kg)	Gross wt/ctn (kg)	Dimensions (cm)	Total gross (kg)	Volume (m^3)
1–100	LED panel 600×600 40 W	12	100	1,200	18.0	19.5	62×62×40	1,950	15.38
101–150	LED high-bay 150 W	6	50	300	24.0	26.0	50×50×45	1,300	5.63
Total			**150**	**1,500 pcs**				**3,250**	**21.01**

Marks: CBT/BEIRUT/1–150 · *Annotation:* totals must agree with the invoice and B/L; carton numbering helps customs examinations and claims.

127.11 Bill of lading

Aspect	Description
Purpose	Receipt for goods, evidence of the contract of carriage, and (if negotiable) document of title
Users	Shipper, consignee, banks, carrier, customs, insurers
Important fields	Shipper; consignee (named / to order / to order of bank); notify party; vessel and voyage; ports; place of receipt/delivery; description, marks, packages, weights; freight prepaid/collect; number of originals; on-board notation and date; place and date of issue; carrier identification and signature
Common mistakes	Consignee wrongly named for L/C; "freight collect" under CFR/CIF; claused (unclean) B/L; wrong port names; missing on-board date
Consequences	Discrepancies; loss of control of goods; delivery to the wrong party

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Bill of lading — field layout (training specimen)

TRAINING SPECIMEN — fictional carrier "Training Star Line" — not a document of title

Field	Example entry
Shipper	Siam Breeze Manufacturing Co., Ltd., Chonburi, Thailand
Consignee	To order of Training Bank Dubai
Notify party	Gulf Cool Appliances FZE, Jebel Ali Free Zone
Pre-carriage / place of receipt	— / Laem Chabang CY
Vessel / voyage	*Training Star* V.112W
Port of loading / discharge	Laem Chabang, Thailand / Jebel Ali, UAE
Place of delivery	Jebel Ali CY
Marks and numbers; container and seal numbers	GCA/JEA/1–1600; 8 × 40HC, seals listed
Number and kind of packages; description	1,600 units split air-conditioners 18,000 BTU inverter ("said to contain")
Gross weight / measurement	52,840 kg / 540 m^3
Freight	Freight prepaid
Number of original B/Ls	Three (3)
Shipped on board	Date 6 August (vessel name confirmed)
Place and date of issue	Laem Chabang, 6 August
Signature	As carrier: Training Star Line (fictional), by its agent

Annotation: for an L/C, this must be clean, show on-board date within the latest shipment date, and match the credit's consignee and notify instructions (UCP 600 art. 20).

127.12 Certificate of origin

Aspect	Description
Purpose	Evidence of the country where goods were produced (non-preferential or preferential)
Users	Customs, buyers, banks (under L/Cs)
Important fields	Exporter, consignee, transport details, goods description and HS code, quantity, country of origin, origin criterion (for preferential certificates), issuing authority certification, exporter's declaration
Common mistakes	Origin claimed incorrectly; description mismatch; wrong form for a trade agreement
Consequences	Loss of preferential duty; back-duties and penalties; L/C discrepancy

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Certificate of origin — field layout (training specimen)

TRAINING SPECIMEN — not issued by any chamber or authority

Box	Content (example)
1 Exporter	Nile Ceramics S.A.E. (fictional), Cairo, Egypt
2 Consignee	Desert Homes Retail (fictional), Dammam, Saudi Arabia
3 Means of transport and route	Sea, Damietta → Dammam, vessel *Training Nile*

Box	Content (example)
4 Marks, numbers, packages	DHR/DMM/1–620 pallets
5 Description of goods; HS code	Glazed porcelain floor tiles; HS 6907.21
6 Gross weight / quantity	612,000 kg / 30,000 m²
7 Country of origin	Egypt
8 Exporter's declaration	Signed and dated
9 Certification by issuing body	[stamp and signature of authorised body — specimen only]

127.13 Insurance certificate

Aspect	Description
Purpose	Evidence that goods are insured under a cargo policy, enabling claims by the holder
Users	Buyer, seller (under CIF/CIP), banks
Important fields	Insured/assured; certificate number; insured value (e.g., CIF + 10%) and currency; conveyance and voyage; goods description; conditions (ICC A/B/C, war, strikes); claims payable at; surveyor/settling agent; date of issue; endorsement
Common mistakes	Insured value below 110%; dated after shipment; wrong clauses; not endorsed
Consequences	Uncovered losses; L/C discrepancy

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Insurance certificate — field layout (training specimen)

TRAINING SPECIMEN — fictional insurer "Training Marine Insurance"
Certificate No. TMI-2026-55821 · Issued under open policy OP-2026-07 · **Assured:** Gulf Cool Appliances FZE (fictional) · **Insured value:** USD 528,000 (CIF + 10%) · **Conveyance:** *Training Star* V.112W, Laem Chabang to Jebel Ali, then to assured's warehouse · **Goods:** 1,600 units split air-conditioners, 8 × 40HC · **Conditions:** Institute Cargo Clauses (A), Institute War Clauses (Cargo), Institute Strikes Clauses (Cargo) · **Claims payable at:** Dubai, in USD · **Surveyor in case of loss:** [named surveyor] · **Date of issue:** 5 August (cover effective from loading) · **Endorsement:** blank-endorsed by the assured.

127.14 Shipment cost calculation

Aspect	Description
Purpose	Calculate the full cost of a shipment and landed cost per unit for pricing and margin control
Users	Procurement, logistics, finance, sales
Important fields	Purchase price and Incoterms; freight; insurance; customs value; duties; taxes (and recoverability); port and clearance charges; inland transport; bank and financing costs; allocation basis; per-unit landed cost
Common mistakes	Pricing on FOB; wrong duty basis; omitting financing and D&D; poor allocation
Consequences	Underpricing; hidden losses

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Shipment cost calculation — template

Line	Basis	Amount
Goods value	Supplier invoice (state Incoterms)	
Freight (main carriage)	Forwarder quote	
Insurance	Rate × 110% × CIF	
Customs value	CIF (or local basis)	
Customs duty	Rate by HS code × customs value	
Other import fees	Conformity, inspection, legalisation	
Port/terminal/DO charges	Carrier/terminal tariffs	
Customs broker	Fee schedule	
Inland transport and unloading	Trucker quote	
Bank charges (T/T, L/C, collection)	Bank tariff	
Financing	Amount × rate × days	
Contingency (D&D, claims)	Historical %	
Total landed cost (excl. recoverable VAT)		
Units / allocation basis	Volume, weight, value	
Landed cost per unit		
Import VAT (cash outflow, recoverable)	Rate × (customs value + duty)	

A completed example appears in Chapter 73 (Volume 5).

127.15 Commodity trade profit-and-loss statement

Aspect	Description
Purpose	Show the full economics of a physical commodity deal, including hedging and all costs
Users	Traders, risk managers, finance, management, banks
Important fields	Purchase and sale pricing formulas and final prices; quantities (B/L and outturn); hedge results; freight; insurance; inspection; financing; demurrage/despatch; claims; fees; net result per unit
Common mistakes	Ignoring hedge results; using estimated rather than final quantities; omitting demurrage and claims; not allocating financing
Con-sequences	Overstated trading profits; poor risk decisions

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Commodity trade P&L — template (from Case 6, abridged)

Line	Amount (USD)	Per tonne
Sales value (final invoice)	24,030,358	480.61
Purchase value (final invoice)	(21,935,969)	(438.72)
Hedge result (futures)	330,693	6.61
Freight	(1,900,000)	(38.00)
Insurance	(15,860)	(0.32)
Inspection and superintendence	(12,500)	(0.25)
Bank charges (L/Cs)	(33,951)	(0.68)

Line	Amount (USD)	Per tonne
Financing	(151,496)	(3.03)
Brokerage and exchange fees	(5,904)	(0.12)
Demurrage (net)	(30,000)	(0.60)
Claims reserve	(24,030)	(0.48)
Net result	**251,341**	**5.03**

PRACTICE · Practice questions on commercial and trade documents

1. List four fields you would cross-check between a commercial invoice, packing list and B/L before an L/C presentation.
2. A PO says “Delivery: ASAP”. What problems can this cause?
3. An insurance certificate is dated two days after the on-board date. Is that a problem?

ANSWER · Answers to the practice questions on commercial and trade documents

1. Goods description; quantities/packages; gross and net weights; marks and numbers; shipper/consignee/notify parties; ports; container numbers; Incoterms and freight notation.
2. No enforceable delivery date, so no basis for late-delivery remedies, planning conflicts, and disputes; specify dates or periods.
3. Yes, potentially: under UCP 600 the insurance document must be dated no later than shipment unless it shows cover effective from no later than the date of shipment; otherwise it is a discrepancy — and goods may have been uninsured during loading.

CHAPTER 128

Banking, Credit and Investment Documents

LEARNING OBJECTIVES · In this chapter

Letter of credit application, illustrative letter of credit, documentary collection instructions, credit application, credit analysis memorandum, loan term sheet, commercial loan proposal, investment memorandum, business valuation report and due diligence checklist.

128.1 Letter of credit application

Aspect	Description
Purpose	Applicant's instruction to its bank to issue a documentary credit, and agreement to reimburse the bank
Users	Applicant (buyer), issuing bank's trade-finance team and credit approvers
Important fields	Applicant and beneficiary; amount, currency, tolerance; form (irrevocable), applicable rules; availability (sight/usance; with which bank; by payment/acceptance/negotiation); expiry date and place; latest shipment date; partial shipments/transhipment; ports/places; goods description and Incoterms rule; documents required; additional conditions; charges; presentation period; confirmation instructions; reimbursement; account to debit; signatures per mandate
Common mistakes	Over-detailed goods descriptions; documents the beneficiary cannot obtain; expiry too soon after shipment; inconsistent Incoterms and insurance requirements; "non-documentary conditions"
Consequences	Discrepancies, amendments, delays and costs; reduced protection for the buyer

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

L/C application — key fields (training template)

To: Training Bank (fictional), Trade Finance Department · **Applicant:** Muscat Builders LLC (fictional), Muscat
Please issue an irrevocable documentary credit by SWIFT on the following terms:

Field	Instruction
Beneficiary	Deccan Steel Mills Ltd (fictional), Mumbai, India · Bank: [advising bank, if known]
Amount	USD 1,360,000.00, tolerance ±5%
Applicable rules	UCP latest version
Available	With any bank by negotiation; drafts at 90 days after B/L date; usance payable at sight, discount charges for applicant's account
Expiry	5 September, in India
Latest shipment	15 August · Partial shipments: allowed · Transhipment: not allowed
Port of loading / discharge	Any port in India / Sohar, Oman
Goods	2,000 MT (±5%) deformed steel bars B500B per BS 4449, CFR Sohar, Incoterms® 2020, as per contract MB-2026-07
Documents	(1) Signed commercial invoice in 3 originals; (2) packing/bundle list; (3) full set of clean on-board B/Ls made out to order of Training Bank, notify applicant, freight prepaid; (4) mill test certificates; (5) inspection certificate issued by [named independent inspection company] certifying quantity and conformity to BS 4449 B500B; (6) certificate of origin issued by a chamber of commerce

Field	Instruction
Additional conditions	All documents to show the credit number; insurance covered by applicant
Charges	Issuing bank charges for applicant; all others for beneficiary
Presentation period	Within 21 days after shipment date but within validity
Confirma-tion	Without
Debit ac-count	[applicant's account number] · Cash margin 10% from account [number]

Undertaking: The applicant agrees to the bank's general terms for documentary credits and to reimburse the bank for all payments made under the credit. *Signed by authorised signatories per mandate.*

128.2 Illustrative letter of credit (SWIFT MT700-style fields)

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Documentary credit — illustrative field layout (training specimen)

TRAINING SPECIMEN — not issued by any bank. Field tags shown for orientation only; consult current SWIFT standards for the authoritative format.

Tag	Field	Content
27	Sequence of total	1/1
40A	Form of docu-mentary credit	IRREVOCABLE
20	Documentary credit number	TB-DC-26-0815
31C	Date of issue	260620
40E	Applicable rules	UCP LATEST VERSION
31D	Date and place of expiry	260905 INDIA
50	Applicant	MUSCAT BUILDERS LLC, MUSCAT, OMAN
59	Beneficiary	DECCAN STEEL MILLS LTD, MUMBAI, INDIA
32B	Currency code, amount	USD 1,360,000.00
39A	Percentage credit amount tolerance	05/05
41a	Available with … by …	ANY BANK BY NEGOTIATION
42C	Drafts at	90 DAYS AFTER B/L DATE
42a	Drawee	TRAINING BANK, MUSCAT
43P	Partial shipments	ALLOWED
43T	Transhipment	NOT ALLOWED
44E / 44F	Port of loading / discharge	ANY PORT IN INDIA / SOHAR, OMAN
44C	Latest date of shipment	260815

Tag	Field	Content
45A	Description of goods	2,000 MT (+/-5 PCT) DEFORMED STEEL BARS B500B AS PER BS 4449, CFR SOHAR INCOTERMS 2020
46A	Documents required	1. SIGNED COMMERCIAL INVOICE IN 3 ORIGINALS 2. BUNDLE LIST 3. FULL SET CLEAN ON BOARD B/L TO ORDER OF TRAINING BANK NOTIFY APPLICANT MARKED FREIGHT PREPAID 4. MILL TEST CERTIFICATES 5. INSPECTION CERTIFICATE ISSUED BY [NAMED INSPECTION COMPANY] 6. CERTIFICATE OF ORIGIN ISSUED BY A CHAMBER OF COMMERCE
47A	Additional conditions	ALL DOCUMENTS MUST INDICATE THIS CREDIT NUMBER. INSURANCE COVERED BY APPLICANT. USANCE DRAFTS PAYABLE AT SIGHT; DISCOUNT CHARGES FOR APPLICANT'S ACCOUNT
71D	Charges	ALL CHARGES OUTSIDE OMAN FOR BENEFICIARY'S ACCOUNT
48	Period for presentation	21 DAYS AFTER DATE OF SHIPMENT BUT WITHIN VALIDITY
49	Confirmation instructions	WITHOUT
78	Instructions to paying/accepting/negotiating bank	DOCUMENTS TO BE SENT IN ONE LOT BY COURIER. REIMBURSEMENT AT MATURITY PER YOUR INSTRUCTIONS

128.3 Documentary collection instructions

Aspect	Description
Purpose	Seller's instructions to its bank (remitting bank) for presenting documents to the buyer through a collecting bank under URC 522
Users	Seller, remitting bank, collecting/presenting bank, buyer
Important fields	Drawer and drawee; collecting bank; amount; documents enclosed; terms of release (D/P or D/A, tenor); charges and interest (who pays; may they be waived?); protest instructions; case-of-need; what to do if unpaid/unaccepted (storage and insurance of goods); remittance instructions
Common mistakes	Ambiguous D/P vs D/A; goods consigned directly to the buyer (losing control); no instructions for non-payment
Consequences	Documents released without payment; goods stranded

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Collection instruction (training template)

To: [Remitting bank] · **Drawer:** Nile Ceramics (fictional) · **Drawee:** Gulf Tiles Trading (fictional), Kuwait · **Collecting bank:** [buyer's bank] · **Amount:** USD 96,000.00 · **Our invoice:** NC-2026-311
Documents enclosed: sight draft (1), commercial invoice (3), packing list (2), full set B/L (3/3) to order and blank-endorsed, certificate of origin (1).
Release documents against: PAYMENT (D/P at sight). **Do not** release against acceptance.
Charges: your charges for our account; collecting bank charges for drawee's account — **may not be waived**.
Protest: do not protest for non-payment; advise us by SWIFT within 3 banking days of non-payment with reasons.
Case of need: our agent in Kuwait [name] may assist but may not alter instructions.
Proceeds: remit to our account [IBAN] at [bank].
This collection is subject to URC 522.

128.4 Credit application (to a bank or supplier)

Aspect	Description
Purpose	Provide information to obtain credit (bank facilities or supplier trade credit)
Users	Applicant; bank credit officers; supplier credit controllers
Important fields	Legal and ownership information; management; business description; financial statements and projections; existing facilities; requested amounts, purpose and tenor; security offered; references; consent to credit checks; signatures
Common mistakes	Incomplete financials; optimistic projections without basis; undisclosed existing debts or guarantees
Consequences	Delays; rejection; covenant traps; misrepresentation risk

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Trade credit application — supplier version (training template)

Section	Information
Company details	Legal name, registration no., address, years in business, ownership (UBOs)
Bank references	Bank name, account manager, years of relationship
Trade references	Three suppliers with contact details, credit limits, payment experience
Financial information	Last two audited statements; current management accounts
Requested credit	Limit USD ____; terms ____ days; expected monthly purchases ____
Security offered	Personal/corporate guarantee; SBLC; none
Declarations	Information accurate; consent to credit reference checks; acceptance of supplier's terms of sale (including retention of title and late-payment interest)
Signatures	Authorised signatory, date

128.5 Credit analysis memorandum

A full example appears in Chapter 46 (Volume 4). Standard sections: summary of request and recommendation; borrower background; ownership and management; industry and business risk; financial analysis (historical and projected); cash flow and repayment capacity; facility structure; security and support; covenants; risks and mitigants; risk rating and pricing; conditions precedent and monitoring.

128.6 Loan term sheet

Aspect	Description
Purpose	Summarise proposed loan terms before documentation
Users	Borrower, bank(s), lawyers
Important fields	Borrower and guarantors; facility type, amount, purpose; availability and tenor; repayment; pricing (margin, fees); security; conditions precedent; representations; covenants; events of default; information undertakings; costs; governing law; whether binding
Common mistakes	Agreeing to vague definitions; missing headroom; overlooking fees and costs

Aspect	Description
Con-sequences	Expensive or restrictive documentation; early covenant breaches

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Indicative term sheet (training template)

Indicative and non-binding; subject to credit approval and documentation

Term	Proposal
Borrower	Gulf Industrial Supplies (fictional)
Guarantors	Material subsidiaries (≥ 80% of group EBITDA and assets)
Facility	USD 10m term loan
Purpose	Construction of cold-storage warehouse and related equipment
Availability period	12 months from signing
Tenor	6 years from signing
Repayment	12 equal semi-annual instalments starting 12 months after first drawdown; 20% balloon at matur-ity
Margin	2.75% p.a. over 6-month reference rate
Fees	Arrangement 0.75% flat; commitment 0.80% p.a. on undrawn amounts during availability
Security	First-ranking mortgage over the warehouse; assignment of insurances; pledge of project account
Financial covenants	Net debt/EBITDA ≤ 3.0×; DSCR ≥ 1.25×; tested semi-annually
Conditions preced-ent	Corporate approvals; security perfected; construction contract; building permits; KYC; legal opin-ions
Events of default	Standard, including cross-default above USD 1m
Hedging	Borrower to hedge at least 50% of interest exposure
Governing law	[Specify]

128.7 Commercial loan proposal

A borrower-prepared proposal requesting financing (often accompanying a credit application): executive summary; company overview; purpose of financing; financing requested (amount, type, tenor, proposed security); financial performance; projections and repayment capacity (DSCR, leverage); sensitivity; man-agement; supporting documents. A good proposal anticipates the bank's questions (see the Cs of credit) and shows how the loan will be repaid from operating cash flow.

128.8 Investment memorandum

Aspect	Description
Purpose	Recommend an investment to an investment committee
Users	Investment team, committee, board
Important fields	Recommendation; investment thesis; company and market; financials and projections; valuation and re-turns (IRR, MOIC) by scenario; deal structure and terms; risks and mitigants; due-diligence findings and open items; ESG considerations; exit routes; conditions
Common mistakes	Thesis without evidence; base case only; underestimating execution risk; ignoring exit

Aspect	Description
Con-sequences	Overpayment; misallocated capital

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Investment memorandum — outline (training template)

1. **Recommendation and key terms** (one page): invest USD __ for __%; expected IRR __% / MOIC __× (base); conditions.
2. **Investment thesis:** 3–5 reasons, each with evidence.
3. **Company overview:** history, products, customers, operations, management.
4. **Market and competition:** size and growth (bottom-up), structure, position.
5. **Financial analysis:** historical normalised results, quality of earnings, cash conversion, balance sheet.
6. **Business plan and projections:** drivers; base/upside/downside.
7. **Valuation:** methods, comparables, entry multiple; sensitivity.
8. **Returns:** IRR/MOIC by scenario and exit timing.
9. **Deal structure:** instrument, governance rights, protections, use of proceeds.
10. **Risks and mitigants:** commercial, operational, financial, legal, regulatory, ESG.
11. **Due diligence:** findings, open items, conditions precedent.
12. **Exit strategy:** buyers, IPO potential, put/drag rights.
13. **Appendices:** model, DD reports, management bios.

See Case 8 and the equity memo in Chapter 84 (Volume 6) for applied examples.

128.9 Business valuation report

Aspect	Description
Purpose	Document an opinion of value for a defined purpose and date (transactions, financial reporting, disputes, tax)
Users	Boards, investors, auditors, courts, tax authorities
Important fields	Scope and purpose; standard and premise of value (e.g., fair value, market value; going concern); valuation date; information relied on; business and industry analysis; methods (income, market, cost) and weighting; key assumptions; sensitivity; conclusion of value (range); limitations; valuer's independence and qualifications
Common mistakes	Unclear purpose/standard of value; unsupported assumptions; no reconciliation between methods
Con-sequences	Disputes, audit challenges, poor decisions

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Valuation report — contents (training template)

1. Engagement: client, purpose, standard of value, valuation date, independence.
2. Executive summary: concluded value range and key drivers.
3. Information sources and limitations.
4. Economic and industry overview.
5. Company analysis: history, operations, management, financial performance, normalisation adjustments.
6. Valuation approaches: DCF (forecast, WACC, terminal value), trading comparables, precedent transactions; asset-based approach where relevant.
7. Reconciliation and conclusion: weighting, range, discounts/premiums (control, marketability).
8. Sensitivity analysis.

9. Appendices: calculations, comparables, assumptions.
   Professional standards such as the International Valuation Standards (IVS) guide practice; requirements vary by purpose and jurisdiction.

128.10 Due diligence checklist

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Due diligence checklist — acquisition of a private company (training template)

Area	Key requests and questions	Status
Corporate and legal	Constitutional documents; cap table; UBOs; group structure; board minutes; licences and permits; material contracts (change-of-control clauses); litigation; regulatory correspondence	☐
Financial	Audited statements (3 years); management accounts; QoE analysis; revenue by customer/product; margins; working capital (normalised level); net debt and debt-like items; capex; budgets and forecasts	☐
Tax	Tax returns and assessments; open audits; transfer pricing; VAT/zakat/withholding compliance; tax losses	☐
Commercial	Market position; customer interviews; churn; pipeline; pricing; competitive threats	☐
Operational	Facilities; capacity and utilisation; supply chain and key suppliers; quality; IT systems; cybersecurity	☐
HR	Organisation chart; key employees and contracts; compensation and benefits; end-of-service liabilities; disputes; localisation compliance	☐
IP and technology	IP registrations and ownership; licences; software and data rights	☐
Environmental, health and safety	Permits; incidents; contamination; compliance	☐
Compliance	Anti-bribery, sanctions, AML, data protection, competition law	☐
Insurance	Policies, claims history, adequacy	☐
Financing	Loan agreements, covenants, security, guarantees	☐
Integration	Systems, culture, synergies, risks	☐

PRACTICE · Practice questions on banking, credit and investment documents

1. In the L/C application, why is “inspection certificate issued by [named company]” better than “inspection certificate issued by the beneficiary”?
2. In the collection instruction, why state that charges “may not be waived”?
3. Name five items in a term sheet that strongly affect a borrower’s flexibility.

ANSWER · Answers to the practice questions on banking, credit and investment documents

1. An independent inspector verifies the goods; a beneficiary’s certificate is self-certification and gives the buyer little protection.
2. Under URC 522, if the drawee refuses to pay charges and the instruction allows waiver, the bank may release documents without collecting them; “may not be waived” ensures charges are collected (or documents are not released).

3. Financial covenants and definitions; negative pledge and permitted security; restrictions on dividends and acquisitions; mandatory prepayment provisions; events of default (cross-default thresholds, MAC clause); information undertakings; hedging requirements.

PART XXIII

Master Reference Materials

المواد المرجعية الرئيسية

Part XXIII gathers the collection's reference tools in one place for quick consultation during work. Some reference materials are generated automatically from the whole collection and appear in **Volume 10**: the comprehensive English–Arabic glossary, the thematic glossary, the unified alphabetical index and the concept location guide. This part contains the remaining guides: acronyms, calculations, ratios, documents, bank products, contracts, departments, job titles, institutions, standards, risks, communication terminology, a transaction checklist, learning resources, official sources and a self-assessment framework.

LEARNING OBJECTIVES · **How to use Part XXIII**

Keep it open while working: check an acronym in a bank email, a ratio definition in a credit memo, the purpose of an unfamiliar document, or the institution that publishes a standard. Each guide points back to the chapter where the topic is explained in full.

Chapters in this part

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CHAPTER 129

Acronyms, Calculations and Financial Ratios

LEARNING OBJECTIVES · In this chapter

A directory of financial and commercial acronyms, a one-page guide to business calculations, and a guide to essential financial ratios.

129.1 Directory of financial and commercial acronyms

Acronym	Full form	Arabic	Area
AED / SAR / KWD / QAR / BHD / OMR / JOD / EGP / LBP	UAE dirham / Saudi riyal / Kuwaiti dinar / Qatari riyal / Bahraini dinar / Omani rial / Jordanian dinar / Egyptian pound / Lebanese pound	العملات	Currencies
AEO	Authorised Economic Operator	المشغل الاقتصادي المعتمد	Customs
AML / CFT	Anti-Money Laundering / Countering the Financing of Terrorism	مكافحة غسل الأموال / تمويل الإرهاب	Compliance
AP / AR	Accounts Payable / Accounts Receivable	الذمم الدائنة / المدينة	Accounting
APG	Advance Payment Guarantee	ضمان الدفعة المقدمة	Trade finance
API	Application Programming Interface	واجهة برمجة التطبيقات	Technology
ARR / MRR	Annual / Monthly Recurring Revenue	الإيرادات المتكررة السنوية / الشهرية	SaaS
ASC	Accounting Standards Codification (US GAAP)	التقنين المحاسبي الأمريكي	Accounting
AUM	Assets Under Management	الأصول تحت الإدارة	Investment
AWB	Air Waybill	بوليصة الشحن الجوي	Logistics
B2B / B2C / B2G	Business-to-Business / Consumer / Government	—	Business
BAF / CAF	Bunker / Currency Adjustment Factor	معامل تعديل الوقود / العملة	Shipping
BATNA	Best Alternative to a Negotiated Agreement	أفضل بديل للاتفاق	Negotiation
BCP	Business Continuity Plan	خطة استمرارية الأعمال	Risk
BG / LG	Bank Guarantee / Letter of Guarantee	خطاب الضمان	Banking
BI	Business Intelligence / Business Interruption	ذكاء الأعمال / توقف الأعمال	Technology / Insurance
BIC	Business Identifier Code (SWIFT code)	رمز تعريف البنك	Payments
B/L	Bill of Lading	بوليصة الشحن	Shipping
BNPL	Buy Now, Pay Later	اشترِ الآن وادفع لاحقاً	Fintech
bp / bps	Basis point(s)	نقطة أساس	Finance

Acronym	Full form	Arabic	Area
CAC / LTV	Customer Acquisition Cost / Lifetime Value	تكلفة اكتساب العميل / القيمة الدائمة	Marketing
CAD	Cash Against Documents	الدفع مقابل المستندات	Trade
CAGR	Compound Annual Growth Rate	معدل النمو السنوي المركب	Finance
CAPEX / OPEX	Capital / Operating Expenditure	النفقات الرأسمالية / التشغيلية	Finance
CAPM	Capital Asset Pricing Model	نموذج تسعير الأصول الرأسمالية	Finance
CAR	Capital Adequacy Ratio	نسبة كفاية رأس المال	Banking
CCC	Cash Conversion Cycle	دورة التحويل النقدي	Finance
CCP	Central Counterparty	الطرف المقابل المركزي	Markets
CDD / EDD	Customer / Enhanced Due Diligence	العناية الواجبة / المعززة	Compliance
CDS	Credit Default Swap	مبادلة مخاطر الائتمان	Derivatives
CET1	Common Equity Tier 1	رأس المال الأساسي من الفئة الأولى	Banking
CFR / CIF / CIP / CPT	Cost and Freight / Cost, Insurance and Freight / Carriage and Insurance Paid To / Carriage Paid To	قواعد إنكوتيرمز	Trade
CFO / CEO / COO / CTO / CIO / CRO / CCO / CISO	Chief Financial / Executive / Operating / Technology / Information / Risk (or Revenue) / Commercial (or Compliance) / Information Security Officer	المناصب التنفيذية العليا	Management
CMR	Convention on the Contract for the International Carriage of Goods by Road	اتفاقية النقل الدولي البري	Logistics
CoA	Chart of Accounts	دليل الحسابات	Accounting
COGS	Cost of Goods Sold	تكلفة البضاعة المبيعة	Accounting
CO	Certificate of Origin	شهادة المنشأ	Trade
CP / CS	Condition Precedent / Subsequent	شرط مسبق / لاحق	Legal
CPI / PPI	Consumer / Producer Price Index	مؤشر أسعار المستهلك / المنتج	Economics
CRM / ERP	Customer Relationship Management / Enterprise Resource Planning	إدارة علاقات العملاء / تخطيط موارد المؤسسة	Technology
CSD	Central Securities Depository	مركز الإيداع المركزي	Markets
D&D	Demurrage and Detention	غرامات التأخير والاحتجاز	Shipping
D/A / D/P	Documents against Acceptance / Payment	المستندات مقابل القبول / الدفع	Trade finance
DAP / DPU / DDP	Delivered at Place / at Place Unloaded / Duty Paid	قواعد إنكوتيرمز	Trade
DCF	Discounted Cash Flow	التدفقات النقدية المخصومة	Valuation

Acronym	Full form	Arabic	Area
DCM / ECM	Debt / Equity Capital Markets	أسواق الدين / الأسهم	Banking
DD	Due Diligence	العناية الواجبة	Transactions
DIO / DSO / DPO	Days Inventory / Sales / Payables Outstanding	أيام المخزون / التحصيل / السداد	Finance
DoA	Delegation of Authority	تفويض الصلاحيات	Governance
DSCR	Debt Service Coverage Ratio	نسبة تغطية خدمة الدين	Credit
EAD / LGD / PD	Exposure at Default / Loss Given Default / Probability of Default	التعرض / الخسارة عند التعثر / احتمال التعثر	Credit risk
EBIT / EBITDA	Earnings before Interest and Taxes / before Interest, Taxes, Depreciation and Amortisation	الأرباح قبل الفوائد والضرائب (والإهلاك والإطفاء)	Finance
ECA	Export Credit Agency	وكالة ائتمان الصادرات	Trade finance
ECL	Expected Credit Loss	الخسارة الائتمانية المتوقعة	Accounting
EDI	Electronic Data Interchange	التبادل الإلكتروني للبيانات	Technology
EOQ	Economic Order Quantity	الكمية الاقتصادية للطلب	Operations
EPS	Earnings Per Share	ربحية السهم	Investment
ERM	Enterprise Risk Management	إدارة المخاطر المؤسسية	Risk
ESG	Environmental, Social and Governance	البيئة والمجتمع والحوكمة	Strategy
ETF	Exchange-Traded Fund	صندوق متداول	Investment
EV	Enterprise Value / Expected Value	قيمة المنشأة / القيمة المتوقعة	Finance
EXW / FCA / FAS / FOB	Ex Works / Free Carrier / Free Alongside Ship / Free on Board	قواعد إنكوتيرمز	Trade
FATF	Financial Action Task Force	مجموعة العمل المالي	Compliance
FCF / FCFF / FCFE	Free Cash Flow (to Firm / to Equity)	التدفق النقدي الحر	Finance
FCL / LCL	Full / Less than Container Load	حاوية كاملة / شحنة جزئية	Shipping
FM	Force Majeure	القوة القاهرة	Legal
FTA	Free Trade Agreement	اتفاقية التجارة الحرة	Trade
FTE	Full-Time Equivalent	ما يعادل موظفاً بدوام كامل	HR
FX	Foreign Exchange	الصرف الأجنبي	Treasury
GAAP	Generally Accepted Accounting Principles	المبادئ المحاسبية المقبولة عموماً	Accounting
GDP	Gross Domestic Product	الناتج المحلي الإجمالي	Economics

Acronym	Full form	Arabic	Area
GMV	Gross Merchandise Value	إجمالي قيمة البضائع	Marketplaces
GRN	Goods Received Note	إشعار استلام البضائع	Procurement
HS	Harmonized System	النظام المنسق	Customs
IBAN	International Bank Account Number	رقم الحساب المصرفي الدولي	Payments
ICC	International Chamber of Commerce	غرفة التجارة الدولية	Trade
IFRS / IAS	International Financial Reporting / Accounting Standards	المعايير الدولية	Accounting
IPO	Initial Public Offering	الطرح العام الأولي	Markets
IRR / MIRR	Internal Rate of Return / Modified IRR	معدل العائد الداخلي	Finance
ISBP	International Standard Banking Practice	الممارسة المصرفية الدولية الموحدة	Trade finance
ISDA	International Swaps and Derivatives Association	الرابطة الدولية للمبادلات والمشتقات	Derivatives
KPI / OKR	Key Performance Indicator / Objectives and Key Results	مؤشر الأداء الرئيسي / الأهداف والنتائج الرئيسية	Management
KRI	Key Risk Indicator	مؤشر المخاطر الرئيسي	Risk
KYC	Know Your Customer	اعرف عميلك	Compliance
L/C / SBLC	Letter of Credit / Standby Letter of Credit	الاعتماد المستندي / الاعتماد الضامن	Trade finance
LCR / NSFR	Liquidity Coverage Ratio / Net Stable Funding Ratio	نسبة تغطية السيولة / صافي التمويل المستقر	Banking
LDs	Liquidated Damages	التعويض الاتفاقي	Legal
LME	London Metal Exchange	بورصة لندن للمعادن	Commodities
LNG / LPG	Liquefied Natural / Petroleum Gas	الغاز الطبيعي المسال / غاز البترول المسال	Energy
LOI / MoU	Letter of Intent / Memorandum of Understanding	خطاب النوايا / مذكرة التفاهم	Legal
LTV	Loan-to-Value / Lifetime Value	نسبة القرض إلى القيمة / القيمة الدائمة	Credit / Marketing
M&A	Mergers and Acquisitions	الاندماج والاستحواذ	Corporate finance
MAC / MAE	Material Adverse Change / Effect	التغير الجوهري السلبي	Legal
MDF	Market Development Funds	أموال تطوير السوق	Channels
MDR	Merchant Discount Rate	رسوم خصم التاجر	Payments
MOIC / TVPI / DPI	Multiple on Invested Capital / Total Value to Paid-In / Distributions to Paid-In	مضاعفات العائد	Private equity
MOQ	Minimum Order Quantity	الحد الأدنى لكمية الطلب	Procurement

Acronym	Full form	Arabic	Area
NAV	Net Asset Value	صافي قيمة الأصول	Funds
NDA / NCNDA	Non-Disclosure (and Non-Circumvention) Agreement	اتفاقية عدم الإفصاح (وعدم التحايل)	Legal
NDF	Non-Deliverable Forward	العقد الآجل غير القابل للتسليم	FX
NIM	Net Interest Margin	صافي هامش الفائدة	Banking
NOPAT	Net Operating Profit After Tax	صافي الربح التشغيلي بعد الضريبة	Finance
NPL	Non-Performing Loan	القرض غير العامل	Banking
NPS	Net Promoter Score	صافي نقاط الترويج	Marketing
NPV	Net Present Value	صافي القيمة الحالية	Finance
NRR	Net Revenue Retention	صافي الاحتفاظ بالإيرادات	SaaS
NVOCC	Non-Vessel Operating Common Carrier	الناقل غير المشغل للسفن	Shipping
OCI	Other Comprehensive Income	الدخل الشامل الآخر	Accounting
OTC	Over the Counter	خارج البورصة	Markets
OTIF	On Time In Full	في الموعد وبالكامل	Operations
P&L	Profit and Loss	الأرباح والخسائر	Accounting
P/E / P/B	Price-to-Earnings / Price-to-Book	مضاعف الربحية / القيمة الدفترية	Investment
PEP	Politically Exposed Person	الشخص المعرض سياسياً	Compliance
PMF	Product-Market Fit	ملاءمة المنتج للسوق	Startups
PML	Probable Maximum Loss	الخسارة القصوى المحتملة	Insurance
PO / PR	Purchase Order / Requisition	أمر / طلب شراء	Procurement
PPA	Power Purchase Agreement / Purchase Price Allocation	اتفاقية شراء الطاقة / توزيع سعر الشراء	Energy / Accounting
QoE	Quality of Earnings	جودة الأرباح	Transactions
RACI	Responsible, Accountable, Consulted, Informed	مصفوفة المسؤوليات	Management
RAROC	Risk-Adjusted Return on Capital	العائد المعدل بالمخاطر على رأس المال	Banking
RCF	Revolving Credit Facility	التسهيل الائتماني المتجدد	Banking
RFI / RFP / RFQ	Request for Information / Proposal / Quotation	طلب معلومات / عرض / تسعير	Procurement
ROA / ROCE / ROE / ROI / ROIC	Return on Assets / Capital Employed / Equity / Investment / Invested Capital	العوائد	Finance
ROU	Right-of-Use (asset)	أصل حق الاستخدام	Accounting

Acronym	Full form	Arabic	Area
RPA	Robotic Process Automation	أتمتة العمليات الروبوتية	Technology
RWA	Risk-Weighted Assets	الأصول المرجحة بالمخاطر	Banking
SaaS / PaaS / IaaS	Software / Platform / Infrastructure as a Service	البرمجيات / المنصة / البنية التحتية كخدمة	Technology
SAFE	Simple Agreement for Future Equity	اتفاقية بسيطة لحقوق ملكية مستقبلية	Startups
SDR	Special Drawing Right	حقوق السحب الخاصة	Economics / Shipping
SHA / SPA	Shareholders' / Sale and Purchase Agreement	اتفاقية المساهمين / البيع والشراء	Legal
SKU	Stock Keeping Unit	وحدة حفظ المخزون	Operations
SLA	Service Level Agreement	اتفاقية مستوى الخدمة	Contracts
SME	Small and Medium-sized Enterprise	المنشآت الصغيرة والمتوسطة	Business
SOFR / EIBOR / SAIBOR	Secured Overnight Financing Rate / Emirates / Saudi Interbank Offered Rate	الأسعار المرجعية	Banking
SPV	Special Purpose Vehicle	الشركة ذات الغرض الخاص	Finance
STR / SAR	Suspicious Transaction / Activity Report	بلاغ المعاملة المشبوهة	Compliance
SWIFT	Society for Worldwide Interbank Financial Telecommunication	جمعية الاتصالات المالية العالمية بين البنوك	Payments
TAM / SAM / SOM	Total Addressable / Serviceable Available / Serviceable Obtainable Market	حجم السوق الكلي / المتاح / الممكن	Strategy
TCO	Total Cost of Ownership	التكلفة الإجمالية للملكية	Procurement
TEU / FEU	Twenty- / Forty-foot Equivalent Unit	حاوية 20 / 40 قدماً	Shipping
THC	Terminal Handling Charge	رسوم مناولة المحطة	Shipping
TR	Trust Receipt	إيصال الأمانة	Trade finance
UBO	Ultimate Beneficial Owner	المستفيد الحقيقي	Compliance
UCP / URC / URDG / ISP	Uniform Customs and Practice / Uniform Rules for Collections / Uniform Rules for Demand Guarantees / International Standby Practices	القواعد الموحدة لغرفة التجارة الدولية	Trade finance
VaR	Value at Risk	القيمة المعرضة للخطر	Risk
VAT / GST	Value Added Tax / Goods and Services Tax	ضريبة القيمة المضافة	Tax
VC / PE	Venture Capital / Private Equity	رأس المال الجريء / الملكية الخاصة	Investment
VGM	Verified Gross Mass	الوزن الإجمالي المتحقق منه	Shipping

Acronym	Full form	Arabic	Area
W&I	Warranty and Indemnity (insurance)	تأمين الضمانات والتعويضات	M&A
WACC	Weighted Average Cost of Capital	المتوسط المرجح لتكلفة رأس المال	Finance
WC / NWC	(Net) Working Capital	رأس المال العامل	Finance
WMS / TMS	Warehouse / Transport (or Treasury) Management System	نظام إدارة المستودعات / النقل (الخزينة)	Technology
YTD / MTD / LTM	Year- / Month-to-Date / Last Twelve Months	منذ بداية السنة / الشهر / آخر اثني عشر شهراً	Reporting
YTM	Yield to Maturity	العائد حتى الاستحقاق	Fixed income

129.2 Guide to common business calculations

Calculation	Formula	Detailed in
Percentage change	(New − Old) ÷ Old	Chapter 40 (Volume 3)
Margin / markup	(P − C) ÷ P / (P − C) ÷ C	Chapter 40 (Volume 3)
Price from target margin	C ÷ (1 − m)	Chapter 40 (Volume 3)
Chain discount	List × Π(1 − d_i)	Chapter 40 (Volume 3)
Simple interest	P × r × days ÷ basis	Chapter 41 (Volume 3)
Compound growth / CAGR	PV(1 + r)^n / (End ÷ Start)^(1/n) − 1	Chapter 41 (Volume 3)
Loan payment	P × r ÷ [1 − (1 + r)$^{-n}$]	Chapter 41 (Volume 3)
FX forward	S × (1 + i_q × d/b) ÷ (1 + i_b × d/b)	Chapter 41 (Volume 3)
Break-even	FC ÷ (P − VC)	Chapter 32 (Volume 3)
Operating leverage	Contribution ÷ EBIT	Chapter 32 (Volume 3)
DSO / DIO / DPO / CCC	Balance ÷ flow × 365; DIO + DSO − DPO	Chapter 42 (Volume 3)
Reorder point / safety stock	d × L + SS; z × σ × √L	Chapter 70 (Volume 5)
EOQ	√(2DS ÷ H)	Chapter 30 (Volume 3)
Landed cost	Price + freight + insurance + duties + charges + finance	Chapter 43 (Volume 3)
Chargeable weight (air)	max(actual, L × W × H ÷ 6,000)	Chapter 43 (Volume 3)
NPV / IRR	Σ CF_t ÷ (1 + r)^t / rate where NPV = 0	Chapter 28 (Volume 3)
WACC	E/V × Ke + D/V × Kd × (1 − t)	Chapter 29 (Volume 3)
CAPM	Rf + β × ERP	Chapter 29 (Volume 3)
EV ↔ equity	Equity = EV − net debt − debt-like items + non-operating assets	Chapter 33 (Volume 3)
Gordon terminal value	FCF × (1 + g) ÷ (r − g)	Chapter 33 (Volume 3)
Bond price	Σ C ÷ (1 + y)^t + F ÷ (1 + y)^n	Chapter 80 (Volume 6)
Portfolio volatility (2 assets)	√($w_1^2\sigma_1^2 + w_2^2\sigma_2^2 + 2w_1w_2\rho\sigma_1\sigma_2$)	Chapter 82 (Volume 6)
Expected value / expected loss	Σ p × x / PD × LGD × EAD	Chapter 43 (Volume 3)
CAC / LTV	S&M cost ÷ new customers / GP per period ÷ churn	Chapter 63 (Volume 5)

129.3 Guide to essential financial ratios

Ratio	Formula	Typical use	Caution
Gross margin	Gross profit ÷ revenue	Pricing power, input costs	Classification of costs
EBITDA margin	EBITDA ÷ revenue	Operating performance	IFRS 16, adjustments
Net margin	Net income ÷ revenue	Overall profitability	One-offs, tax
ROE	Net income ÷ average equity	Shareholder return	Leverage-inflated
ROA	Net income ÷ average assets	Asset productivity	Industry comparisons
ROCE	EBIT ÷ (total assets − current liabilities)	Capital efficiency	Definitions vary
ROIC	NOPAT ÷ invested capital	Value creation vs WACC	Goodwill treatment
Asset turnover	Revenue ÷ average total assets	Capital intensity	—
DSO / DIO / DPO	See formulas	Working capital	Seasonality
Current ratio	Current assets ÷ current liabilities	Liquidity	Asset quality
Quick ratio	(Cash + receivables + ST investments) ÷ current liabilities	Liquidity	Receivable quality
Debt / equity	Total debt ÷ equity	Leverage	Book values
Net debt / EBITDA	(Debt − cash) ÷ EBITDA	Leverage (lenders)	Definitions in loan agreements
Interest cover	EBIT (or EBITDA) ÷ interest	Debt service ability	Interest capitalised
DSCR	Cash available for debt service ÷ debt service	Repayment capacity	Definition of cash available
CFO / EBITDA	Operating cash flow ÷ EBITDA	Cash conversion	Timing effects
FCF yield	FCF ÷ market cap (or EV)	Valuation, cash generation	Volatile FCF
P/E	Price ÷ EPS	Equity valuation	Accounting, leverage
EV/EBITDA	EV ÷ EBITDA	Valuation across capital structures	Capex-heavy firms
Dividend payout	Dividends ÷ net income	Distribution policy	Cash coverage
NIM (banks)	NII ÷ average earning assets	Bank profitability	Funding mix
Cost-to-income (banks)	Opex ÷ operating income	Efficiency	—
NPL ratio (banks)	NPLs ÷ gross loans	Asset quality	Definitions
CET1 ratio (banks)	CET1 capital ÷ RWA	Solvency	Model risk weights
Loss ratio / combined ratio (insurers)	Claims ÷ premiums / (claims + expenses) ÷ premiums	Underwriting profitability	Reserving

CHAPTER 130

Guides to Documents, Bank Products and Contracts

LEARNING OBJECTIVES · In this chapter

Quick-reference guides to international trade documents, banking products and instruments, and common commercial contracts, plus a pointer to the comparison guide for confused concepts.

130.1 Guide to international trade documents

Document	Issuer	Proves / does	Negotiable?	Key checks
Proforma invoice	Seller	Preliminary price and terms	No	Matches quotation; used for L/C and licences
Commercial invoice	Seller	Sale value; basis for payment and customs	No	Description, amounts, Incoterms, parties
Packing list	Seller	Packages, contents, weights	No	Totals match B/L and invoice
Bill of lading	Carrier/agent	Receipt, contract of carriage, title (if to order)	Yes (to order)	Clean, on board, consignee, freight notation, originals
Sea waybill	Carrier	Receipt, contract evidence	No	Named consignee
Air waybill	Airline/agent	Receipt, contract evidence	No	Consignee (bank if control needed)
CMR / rail note	Carrier	Road/rail carriage contract	No	Consignee, signatures
Certificate of origin	Chamber/authority/exporter	Origin of goods	No	Origin criterion; form for FTA
Insurance certificate	Insurer	Cargo cover	Endorsable	110%, clauses, date, currency
Inspection certificate	Inspector	Quality/quantity at a point	No	Issuer named; final or not
Phytosanitary/ health/halal	Authorities/bodies	Regulatory compliance	No	Validity, consignment match
Conformity certificate	Accredited bodies	Product meets standards	No	Product/shipment coverage
Export/import declaration	Exporter/importer (broker)	Customs control	No	Classification, value, origin
Delivery order	Carrier’s agent	Release of cargo at destination	No	Charges paid; correct party
Bill of exchange	Drawer (seller)	Order to pay	Yes	Amount, tenor, acceptance
Warehouse receipt	Warehouse operator	Goods held in store	Sometimes	Operator reputation, legal status

Full explanations: Chapter 54 (Volume 4) and Chapter 55 (Volume 4).

130.2 Guide to major banking products and instruments

Product	Function	Typical tenor	Main user	Main risk for the bank
Current/deposit accounts	Payments, liquidity	—	All	Operational, AML
Overdraft	Financing (on demand)	12 months review	SMEs, corporates	Credit
RCF	Financing (committed, revolving)	1–5 years	Mid/large corporates	Credit
Term loan	Financing (capex, acquisitions)	2–10 years	Corporates	Credit
Asset finance / leasing	Financing secured on asset	Asset life	Corporates	Credit, residual value
Import loan / trust receipt	Trade financing	60–180 days	Importers	Credit, goods control
Pre-/post-shipment finance	Exporter financing	Days–months	Exporters	Performance, credit
Invoice discounting / factoring	Receivables financing	30–180 days	Sellers	Buyer credit, dilution
Payables finance (SCF)	Supplier early payment	30–180 days	Large buyers' suppliers	Buyer credit
Documentary credit (L/C)	Payment undertaking	Months	Importers/exporters	Applicant credit, documents
Confirmation	Second undertaking	Months	Exporters	Issuing bank and country risk
Documentary collection	Document handling	—	Traders	Minimal (no undertaking)
Bank guarantee / SBLC	Undertaking against default	Months–years	Contractors, traders	Applicant credit, unfair calls
FX spot/forward/swap	Payments and hedging	Days–years	Corporates	Counterparty, settlement
Interest-rate swap / cap	Hedging	Years	Borrowers	Counterparty
Cash pooling / netting	Liquidity management	Ongoing	Groups	Operational, legal
Syndicated loan	Large financing shared by banks	3–7 years	Large corporates	Credit
Project finance	Non-recourse project funding	10–25 years	SPVs	Project performance
Bonds/sukuk arranging (DCM)	Capital-markets debt	Years	Large issuers	Underwriting, reputational
Equity issuance (ECM)	Capital-markets equity	—	Companies	Underwriting, reputational

Classification by function: Chapter 51 (Volume 4).

130.3 Guide to common commercial contracts

Contract	Parties	Purpose	Most negotiated clauses
Sale of goods / supply agreement	Seller–buyer	Supply of goods	Price/adjustment, Incoterms, quality, payment security, LDs, liability

Contract	Parties	Purpose	Most negotiated clauses
Framework / master agreement	Supplier–customer	Terms for repeated orders	Volumes, pricing mechanism, SLAs, termination
Distribution agreement	Principal–distributor	Resale in territory	Exclusivity, targets, termination, IP
Agency agreement	Principal–agent	Sales representation	Commission, authority, termination compensation
Services agreement / MSA + SOW	Provider–client	Services	Scope, SLAs, IP, data, liability
SaaS / licence agreement	Vendor–customer	Software use	Price increases, data, security, exit
NDA	Two or more parties	Confidentiality	Definition, duration, exceptions
SPA (shares/business)	Seller–buyer	Acquisition	Price mechanism, warranties, indemnities, CPs
Shareholders' agreement	Shareholders	Governance and exit	Reserved matters, transfers, deadlock, exit
Joint venture agreement	JV partners	Joint business	Contributions, control, exit
Loan / facility agreement	Lender–borrower	Debt	Covenants, EoDs, security, pricing
Lease	Lessor–lessee	Use of asset/ premises	Term, rent review, maintenance, break options
Employment contract	Employer–employee	Employment	Pay, duties, restrictive covenants, termination
Franchise agreement	Franchisor–franchisee	Business system	Fees, standards, territory, termination
Charter party	Shipowner–charterer	Vessel hire	Freight/hire, laytime, demurrage, liabilities
EPC / construction contract	Employer–contractor	Build a project	Price, time, LDs, variations, guarantees

Full treatment: Chapter 95 (Volume 7) and Chapter 96 (Volume 7).

130.4 Comparison guide for frequently confused concepts

The comprehensive comparison tables are in Chapter 12 (Volume 1) (Volume 1). Additional pairs worth knowing:

Pair	Distinction
Bookings vs billings vs revenue vs cash	Signed vs invoiced vs recognised vs received
Forecast vs budget vs target	Expectation vs approved plan vs aspiration
Price vs cost vs value	What is paid vs what it costs to produce vs what it is worth to the buyer
Gross vs net (revenue, debt, margin, exposure)	Before vs after deductions — always ask which
Nominal vs real; reported vs constant currency	Current money vs inflation-adjusted; with vs without FX effects
Organic vs inorganic growth	Without vs with acquisitions
Accretive vs value-creating	EPS increase vs NPV-positive
Hedge vs insurance	Offsetting position vs risk transfer for premium
Collateral vs covenant	Asset security vs behavioural promise
Quotation vs proforma vs commercial invoice	Offer vs preliminary invoice vs final demand for payment

CHAPTER 131

Guides to Departments, Job Titles, Institutions, Standards and Risks

LEARNING OBJECTIVES · In this chapter

Who does what inside a company, what common job titles mean, which international institutions matter to business, which standards and rule sets govern professional practice, and a master list of business risks.

131.1 Guide to business departments

Department	Core mission	Key outputs	Typical KPIs	Main interfaces
Finance / accounting	Record, report, plan and control money	Financial statements, budgets, forecasts, management accounts	Close speed, forecast accuracy, DSO	All departments, auditors, banks
Treasury	Liquidity, funding, FX and interest-rate risk	Cash forecasts, hedges, bank facilities	Liquidity headroom, cost of funds	Finance, banks, sales, procurement
Tax	Compliance and efficient tax structure	Returns, transfer pricing files	Effective tax rate, no penalties	Finance, legal
Sales	Win and grow revenue	Orders, contracts, forecasts	Bookings, win rate, pipeline coverage	Marketing, operations, finance
Marketing	Create demand and position the brand	Campaigns, leads, pricing input	CAC, lead conversion, brand metrics	Sales, product
Customer service / success	Retain and support customers	Resolved tickets, renewals	NPS, churn, resolution time	Sales, operations
Procurement	Buy the right inputs on the right terms	Contracts, POs, supplier panel	Savings, OTIF, supplier risk	Operations, finance, legal
Operations / production	Produce goods or deliver services	Output, quality	Yield, utilisation, cost per unit	Procurement, logistics, sales
Supply chain / logistics	Move and store goods	Shipments, inventory	OTIF, inventory days, freight cost	Procurement, sales, customs brokers
HR / people	Hire, develop, pay and retain people	Hiring, payroll, policies	Turnover, time-to-hire, engagement	All
Legal	Protect the company contractually and legally	Contracts, opinions, dispute handling	Turnaround, disputes avoided	Sales, procurement, finance
Compliance	Ensure laws, regulations and policies are followed	Policies, screening, training	Breaches, audit findings	Legal, finance, operations
Risk management	Identify, assess and coordinate responses to risk	Risk register, appetite, reports	KRIs within appetite	Board, all departments
Internal audit	Independent assurance to the board	Audit reports	Findings closed on time	Audit committee

Department	Core mission	Key outputs	Typical KPIs	Main interfaces
IT / technology	Run and change systems	Infrastructure, applications, security	Uptime, incidents, project delivery	All
Product / R&D	Design what is sold	Products, roadmaps	Time-to-market, adoption	Sales, marketing, operations
Strategy / corporate development	Long-term direction, M&A	Plans, deals	Execution of plan, deal returns	CEO, board, finance
Investor relations	Communicate with investors	Results releases, presentations	Analyst coverage, valuation gap	CFO, CEO

131.2 Guide to business job titles

Title	Typical responsibilities	Reports to
Chairman / chair	Leads the board; oversees governance	Shareholders (board)
Chief Executive Officer (CEO) / Managing Director	Overall leadership and performance	Board
Chief Financial Officer (CFO)	Finance, reporting, treasury, tax, investor relations	CEO / board
Chief Operating Officer (COO)	Day-to-day operations	CEO
Chief Commercial / Revenue Officer	Sales, marketing, pricing	CEO
Chief Risk Officer (CRO)	Risk framework	CEO / board risk committee
Chief Compliance Officer	Regulatory compliance	CEO / board
Chief Technology / Information Officer	Technology strategy and systems	CEO
Chief Information Security Officer	Cybersecurity	CIO / CEO / CRO
General Counsel	Legal function	CEO
Company Secretary	Board procedures, statutory records	Board / chair
Financial Controller	Accounting, close, reporting, controls	CFO
Treasurer	Cash, funding, FX and interest-rate risk	CFO
FP&A Manager	Budgets, forecasts, performance analysis	CFO
Head of Internal Audit	Independent assurance	Audit committee (functionally)
Credit Manager	Customer credit limits and collections	CFO / controller
Procurement Manager / Buyer	Supplier selection and purchasing	COO / CFO
Supply Chain / Logistics Manager	Inventory and transport	COO
Sales Director / Key Account Manager	Revenue targets / major customers	CCO
Business Development Manager	New markets, partners, deals	CEO / CCO
Relationship Manager (bank)	Bank's client relationship	Head of corporate banking
Credit Analyst (bank)	Credit analysis and memos	Credit risk head
Trade Finance Officer (bank)	L/C, collections, guarantees processing	Trade finance head
Analyst / Associate / VP / Director / MD (banking, consulting, PE)	Seniority ladder in finance firms	Next level up
Product Manager	Product definition and roadmap	Head of product

Title	Typical responsibilities	Reports to
Project Manager / PMO	Delivery of projects	Sponsor / PMO head

Titles vary by country and company size: a “Vice President” in a bank may be a mid-level role, while in a US industrial company it is senior. See Chapter 102 (Volume 7).

131.3 Guide to international business institutions

Institution	Role	Why it matters to business	Website
International Chamber of Commerce (ICC)	Business rules: Incoterms®, UCP 600, URC 522, URDG 758; arbitration	Rules incorporated in trade contracts and instruments	iccwbo.org
World Trade Organization (WTO)	Multilateral trade rules, dispute settlement	Tariff commitments, trade policy	wto.org
World Customs Organization (WCO)	Harmonized System, valuation and origin guidance	Classification and customs procedures	wcoomd.org
International Monetary Fund (IMF)	Macro surveillance, crisis lending	Country risk, macro data and outlooks	imf.org
World Bank Group (incl. IFC, MIGA)	Development finance, private-sector investment, political-risk insurance	Project finance, data	worldbank.org, ifc.org, miga.org
Bank for International Settlements (BIS) and Basel Committee	Central banks’ bank; bank regulation standards	Basel framework shapes bank lending	bis.org
Financial Stability Board (FSB)	Coordinates financial regulation	Systemic risk policy	fsb.org
FATF	AML/CFT standards and country evaluations	KYC requirements, high-risk jurisdictions	fatf-gafi.org
OECD	Economic policy, tax (BEPS, transfer pricing), governance principles	Tax and governance frameworks	oecd.org
IFRS Foundation / IASB / ISSB	Accounting and sustainability disclosure standards	Financial reporting	ifrs.org
FASB	US GAAP	US reporting	fasb.org
IOSCO	Securities regulators’ standards	Capital markets regulation	iosco.org
UNCITRAL	Model laws and conventions (e.g., CISG, arbitration, electronic transferable records)	Cross-border contract law	uncitral.un.org
UNCTAD	Trade and development research	Trade and investment data	unctad.org
ISO	International standards (quality, risk, security, etc.)	Certification, supplier requirements	iso.org
SWIFT	Financial messaging network and standards	Payments, trade finance messages	swift.com
IMO	Maritime safety and environment	Shipping regulation (e.g., SOLAS VGM)	imo.org
ICAO / IATA	Aviation rules / airline industry body	Air cargo	icao.int, iata.org
BIMCO	Shipping contract forms	Charter parties	bimco.org
ISDA	Derivatives documentation	ISDA Master Agreement	isda.org

Institution	Role	Why it matters to business	Website
Regional development banks (e.g., IsDB, EBRD, AfDB, ADB)	Development finance	Trade and project finance support	isdb.org, ebrd.com, afdb.org, adb.org
Central banks and national regulators	Monetary policy, supervision	Rates, licensing, rules (country-specific)	Each country's official site

131.4 Guide to international standards and rule sets

Standard / rules	Publisher	Scope	Legal force
IFRS Accounting Standards (IFRS, IAS, interpretations)	IASB	Financial reporting	Mandatory where adopted by national law/ regulation
IFRS S1 / S2	ISSB	Sustainability and climate disclosures	Where adopted by jurisdictions
US GAAP (ASC)	FASB	US financial reporting	Required for US SEC registrants (domestic)
ISA (International Standards on Auditing)	IAASB	Audit	Where adopted
Incoterms® 2020	ICC	Delivery, risk, costs in sale contracts	Contractual — only if incorporated
UCP 600	ICC	Documentary credits	Contractual — incorporated in L/C
ISBP (ICC Publication 821)	ICC	Practice for examining L/C documents	Practice guidance referenced by banks
eUCP 2.0	ICC	Electronic presentations under L/Cs	Contractual supplement
URC 522	ICC	Documentary collections	Contractual
URDG 758	ICC	Demand guarantees	Contractual
ISP98	Institute of International Banking Law & Practice (endorsed by ICC)	Standby L/Cs	Contractual
URR 725	ICC	Bank-to-bank reimbursements	Contractual
CISG (Vienna Convention 1980)	UNCITRAL / UN	International sale of goods	Treaty law in contracting states unless excluded
Harmonized System	WCO	Product classification for customs	Implemented by national tariffs
WTO Customs Valuation Agreement	WTO	Customs value methods	Via national law
Basel Framework (Basel III)	Basel Committee	Bank capital, liquidity, leverage	Via national regulation
FATF Recommendations	FATF	AML/CFT	Via national law
OECD Transfer Pricing Guidelines	OECD	Pricing between related companies	Widely referenced in national law/practice

Standard / rules	Publisher	Scope	Legal force
G20/OECD Principles of Corporate Governance	OECD	Governance	Guidance; national codes build on it
COSO Internal Control — Integrated Framework (2013) / COSO ERM (2017)	COSO	Internal control, enterprise risk	Voluntary framework, widely used
ISO 31000	ISO	Risk management guidelines	Voluntary
ISO 22301	ISO	Business continuity management	Voluntary, certifiable
ISO/IEC 27001	ISO/IEC	Information security management	Voluntary, certifiable
ISO 9001	ISO	Quality management	Voluntary, certifiable
International Valuation Standards (IVS)	IVSC	Valuation practice	Voluntary, required by some regulators
ISO 20022	ISO	Financial messaging data standard	Adopted by payment systems
Institute Cargo Clauses (A), (B), (C)	Lloyd's Market Association / International Underwriting Association (London market)	Marine cargo insurance cover	Contractual

COMMON MISTAKES · Legal force varies

"International standard" rarely means "automatically binding law". ICC rules bind because the parties incorporate them; accounting and banking standards bind because national laws or regulators adopt them, sometimes with modifications. Always check the jurisdiction and the contract.

131.5 Guide to business risks

Risk family	Examples	Typical responses	See
Strategic	Disruption, wrong strategy, competitor moves	Strategy reviews, diversification	Chapter 103 (Volume 7)
Market	Demand fall, price drops	Flexible costs, contracts	Chapter 35 (Volume 3)
Credit / counterparty	Customer non-payment, bank failure	Limits, L/Cs, credit insurance	Chapter 46 (Volume 4)
Liquidity	Cannot pay obligations when due	Cash forecasting, committed facilities	Chapter 60 (Volume 4)
FX	Currency moves on payables/receivables	Forwards, natural hedges	Chapter 61 (Volume 4)
Interest rate	Floating-rate debt costs rise	Swaps, caps, fixed-rate debt	Chapter 83 (Volume 6)
Commodity price	Input or inventory price moves	Futures, pass-through clauses	Chapter 85 (Volume 6)
Operational	Process failure, fraud, errors	Controls, segregation of duties	Chapter 26 (Volume 2)
Supply chain	Supplier failure, shipping disruption	Dual sourcing, safety stock	Chapter 72 (Volume 5)

Risk family	Examples	Typical responses	See
Legal / contractual	Unfavourable terms, disputes	Contract review, dispute clauses	Chapter 95 (Volume 7)
Compliance / regulatory	Sanctions, AML, licensing breaches	Screening, policies, training	Chapter 50 (Volume 4)
Country / political	Transfer restrictions, expropriation, war	Political-risk insurance, confirmation	Chapter 39 (Volume 3)
Technology / cyber	Ransomware, outages, data breach	Security controls, backups, cyber insurance	Chapter 109 (Volume 7)
Reputational	Scandal, product failure	Governance, crisis plans	Chapter 76 (Volume 5)
People	Key-person loss, skills gaps	Succession, retention	Chapter 105 (Volume 7)
Physical / natural hazard	Fire, flood, storms	Insurance, continuity plans	Chapter 75 (Volume 5)
ESG / climate	Transition costs, physical climate risk	Scenario analysis, disclosure	Chapter 76 (Volume 5)

CHAPTER 132

Communication Terminology, Transaction Checklist and Learning Resources

LEARNING OBJECTIVES · In this chapter

Professional communication vocabulary, a master checklist for any business transaction, recommended textbooks and resources, official sources, how to use the concept index, and a personal knowledge assessment framework.

132.1 Guide to professional communication terminology

Expression	Meaning	Arabic
Action items	Tasks agreed with owner and deadline	بنود العمل
Agenda	Ordered list of meeting topics	جدول الأعمال
Minutes	Official record of a meeting	محضر الاجتماع
Executive summary	One-page overview for decision-makers	الملخص التنفيذي
Escalation	Raising an issue to a higher authority	التصعيد
Stakeholder	Person or group affected by or influencing a decision	صاحب المصلحة
Follow-up	Subsequent contact to advance a matter	المتابعة
Heads-up	Advance warning	تنبيه مسبق
Touch base / sync	Brief contact to align	التواصل للتنسيق
Circle back	Return to a topic later	العودة إلى الموضوع لاحقاً
Bandwidth	Available capacity	القدرة المتاحة
Deliverable	Defined output to be provided	المُخرَج
Deadline / ETA	Due date / expected time of arrival	الموعد النهائي / الوقت المتوقع للوصول
Sign-off	Formal approval	الموافقة النهائية
Without prejudice	Settlement communication not admissible as admission (jurisdiction-dependent)	دون الإخلال بالحقوق
Subject to contract	Not binding until formal contract signed	رهناً بإبرام العقد
For your information (FYI) / For your action	No action needed / action needed	للعلم / للإجراء
Per our conversation	Referring to a previous discussion	بناءً على محادثتنا
Next steps	Agreed actions after a meeting	الخطوات التالية
Key takeaways	Main conclusions	الخلاصات الرئيسية
Bottom line	The essential conclusion	الخلاصة
Pushback	Resistance or objection	الاعتراض

Expression	Meaning	Arabic
Alignment	Agreement on direction	التوافق
Out of office	Absent, with alternative contact	خارج المكتب

The full phrasebook with hundreds of expressions is in Chapter 116 (Volume 8).

132.2 Master transaction checklist

Use this checklist before committing to any significant deal: sale, purchase, financing, investment or partnership.

STANDARD / FRAMEWORK ·

1. Counterparty

- Legal identity verified (registry extract, UBO, authorised signatories).
- KYC / sanctions / PEP screening completed and documented.
- Financial strength assessed (accounts, credit report, references).
- Track record and reputation checked; red flags investigated.

STANDARD / FRAMEWORK ·

2. Commercial terms

- Product/service specification and quality standard precise.
- Quantity, tolerance, delivery schedule and place defined.
- Price, currency, adjustment mechanism and Incoterms® (with version and place) agreed.
- Payment terms and payment security agreed (L/C, guarantee, insurance, advance).

STANDARD / FRAMEWORK ·

3. Economics

- Full landed cost / total cost of ownership calculated.
- Margin after financing, FX, insurance and contingencies positive.
- Sensitivity to price, FX, freight and delay tested; break-even known.
- Cash-flow timing mapped; working capital and funding available.

STANDARD / FRAMEWORK ·

4. Risk

- Credit, FX, commodity, interest-rate, country and logistics risks identified.
- Hedging, insurance, collateral and guarantees arranged as needed.
- Worst-case loss quantified and within appetite.

STANDARD / FRAMEWORK ·

5. Legal and compliance

- Contract reviewed: liability caps, LDs, force majeure, termination, governing law, dispute resolution.
- Export controls, licences, sanctions, customs classification and origin confirmed.

- Tax effects (VAT, withholding, transfer pricing, permanent establishment) checked with advisers.
- Required internal approvals obtained per delegation of authority.

STANDARD / FRAMEWORK ·

6. Execution and control

- Responsibilities (RACI), timeline and documents list prepared.
- Documents checked against contract/L/C before presentation.
- Monitoring of shipment, payments, covenants and KPIs in place.
- Post-deal review scheduled; lessons recorded.

132.3 Recommended textbooks and learning resources

The list below names widely used, long-established works by their authors. Editions change; use the latest edition available to you.

Area	Title	Author(s)
Corporate finance	*Principles of Corporate Finance*	Brealey, Myers and Allen
Corporate finance	*Corporate Finance*	Berk and DeMarzo
Valuation	*Valuation: Measuring and Managing the Value of Companies*	McKinsey & Company (Koller, Goedhart, Wessels)
Valuation	*Investment Valuation* and *Damodaran on Valuation*	Aswath Damodaran
Accounting	*Financial Accounting / Intermediate Accounting*	Kieso, Weygandt and Warfield (Intermediate)
Accounting analysis	*Financial Statement Analysis and Security Valuation*	Stephen Penman
Management accounting	*Cost Accounting: A Managerial Emphasis*	Horngren, Datar and Rajan
Investments	*Investments*	Bodie, Kane and Marcus
Derivatives	*Options, Futures, and Other Derivatives*	John C. Hull
Fixed income	*The Handbook of Fixed Income Securities*	Frank Fabozzi (ed.)
Value investing	*The Intelligent Investor*	Benjamin Graham
Economics	*Principles of Economics*	N. Gregory Mankiw
Macroeconomics / money	*The Economics of Money, Banking and Financial Markets*	Frederic Mishkin
Banking	*Bank Management & Financial Services*	Rose and Hudgins
Trade finance	ICC publications: Incoterms® 2020, UCP 600, ISBP 821, URDG 758	ICC
Strategy	*Competitive Strategy* and *Competitive Advantage*	Michael Porter
Strategy	*Good Strategy / Bad Strategy*	Richard Rumelt
Management	*The Effective Executive*	Peter Drucker
Negotiation	*Getting to Yes*	Fisher, Ury and Patton
Decision-making	*Thinking, Fast and Slow*	Daniel Kahneman
Startups	*The Lean Startup*	Eric Ries
Startups	*Venture Deals*	Brad Feld and Jason Mendelson

Area	Title	Author(s)
Supply chain	*Supply Chain Management: Strategy, Planning, and Operation*	Chopra and Meindl
Marketing	*Marketing Management*	Philip Kotler and Kevin Lane Keller
Writing	*The Pyramid Principle*	Barbara Minto
Commodities	*The World for Sale*	Javier Blas and Jack Farchy

Professional qualifications whose syllabi provide structured study paths include CFA (investment), ACCA / CPA / CMA (accounting), FRM (risk), CDCS (documentary credits, offered with the ICC/London Institute of Banking & Finance), CITF and CSDG (trade finance and guarantees), CIPS (procurement) and PMP (project management). Check each body's official website for current requirements.

132.4 Official sources

Need	Source	Address
Accounting standards	IFRS Foundation	ifrs.org
US accounting standards	FASB	fasb.org
Trade and banking rules	ICC	iccwbo.org
Bank regulation	BIS / Basel Committee	bis.org
AML/CFT standards	FATF	fatf-gafi.org
Customs classification	WCO	wcoomd.org
Trade policy, tariffs	WTO	wto.org (Tariff and trade data)
Macro data and outlook	IMF	imf.org (World Economic Outlook, data)
Development data	World Bank	data.worldbank.org
Tax and governance	OECD	oecd.org
Trade law instruments	UNCITRAL	uncitral.un.org
Trade statistics	UN Comtrade / UNCTAD	comtradeplus.un.org, unctad.org
Standards	ISO	iso.org
Internal control / ERM	COSO	coso.org
Internal audit	Institute of Internal Auditors	theiia.org
Payments messaging	SWIFT	swift.com
US securities filings	SEC EDGAR	sec.gov
US sanctions	OFAC (US Treasury)	ofac.treasury.gov

Need	Source	Address
UN sanctions	UN Security Council	un.org/securitycouncil/sanctions
EU sanctions and law	EU	eur-lex.europa.eu; sanctionsmap.eu
UK sanctions	OFSI (HM Treasury)	gov.uk
GCC regulators (examples)	Central Bank of the UAE; Saudi Central Bank (SAMA); Capital Market Authority (Saudi Arabia); Securities and Commodities Authority (UAE); DFSA / FSRA	Official government websites
Commodity exchanges	CME Group; ICE; LME	cmegroup.com; ice.com; lme.com

> **NOTE · Using official sources**
>
> Prefer the primary source (standard-setter, regulator, official statistics) over summaries. Note the date and version of what you read. Regulations change; this book explains principles and must not be treated as a statement of current law.

132.5 Structured concept index

Volume 10 contains the **concept location guide**, which groups every chapter of the collection under the eight themes of the book (Language, Business and Management, Accounting and Finance, Economics and Markets, Banking and Trade, Operations and Commerce, Law, Risk and Technology, Communication and Thinking), together with the unified alphabetical index (with volume:page references), the English–Arabic glossary and the thematic glossary. Use the volume map on the “About this volume” page of each volume to move between volumes.

132.6 Personal knowledge assessment framework

Rate yourself in each area on the scale below every month. Evidence matters more than feeling: for each score, write one piece of evidence (an exercise solved, a document drafted, an explanation given without notes).

Level	Description	Evidence example
0 — Unaware	Do not know the terms	—
1 — Recognise	Recognise terms when reading	Can match terms to definitions
2 — Explain	Can explain concepts in simple words, EN and AR	Explain an L/C to a friend without notes
3 — Apply	Can calculate, analyse and draft in standard cases	Compute landed cost; draft a quotation
4 — Judge	Can choose between options and spot problems	Identify discrepancies; recommend a structure
5 — Advise	Can lead a transaction or decision and defend it	Present a credit or investment recommendation

Area	Target after 6 months	Self-score (month 1 / 3 / 6)	Evidence
Business terminology (EN/AR)	4		
Accounting and financial statements	4		
Corporate finance and valuation	3–4		
Banking and credit	3–4		
International trade and trade finance	4		
Procurement and supply chain	3		

Area	Target after 6 months	Self-score (month 1 / 3 / 6)	Evidence
Investment and markets	3		
Commodities	3		
Law and contracts (principles)	3		
Management and strategy	3		
Risk and insurance	3		
Technology and data	3–4		
Professional communication	4		
Business mathematics	4		

PROFESSIONAL INSIGHT · Turning gaps into a plan

Any area scoring two levels below target becomes the focus of the next month: re-read the chapter, redo its exercises without looking at the answers, and complete one document from the Document Library on that topic.

EXERCISES

Exercise Bank and Solutions

بنك التمارين والحلول

The exercise bank consolidates practice across fifteen skill areas. Each area has three levels: **Easy** (recall and simple application), **Intermediate** (multi-step calculation or analysis) and **Advanced** (judgement, structuring and recommendation). Full solutions follow each set. Chapter exercises throughout Volumes 1–8 complement this bank; the roadmap that follows tells you when to use each set.

PROFESSIONAL INSIGHT · How to use the exercise bank

Attempt every question on paper before reading the solution. Mark yourself honestly: fully correct, method correct but arithmetic wrong, or method wrong. Method errors mean re-reading the chapter; arithmetic errors mean practising with a calculator and checking units. All companies, people and figures are fictional.

Chapters in this part

Chapter 133 Exercise Bank I: Terminology, Calculations, Accounting, Company Analysis and Business Models 54
Chapter 134 Exercise Bank II: Banking, Trade Finance, Import-Export, Contracts and Negotiation 59
Chapter 135 Exercise Bank III: Investment, Risk, Management Decisions, Email Writing and Meetings 63

CHAPTER 133

Exercise Bank I: Terminology, Calculations, Accounting, Company Analysis and Business Models

LEARNING OBJECTIVES · In this chapter

Practice sets 1–5 with full solutions.

133.1 Set 1 — Business terminology

PRACTICE · Set 1 — Terminology questions

Easy

1. Define in one English sentence and one Arabic sentence each: accrual, collateral, consignee, covenant, working capital.
2. Expand and translate: DSO, EBITDA, UBO, L/C, FOB.

Intermediate

3. Explain the difference within each pair: (a) margin vs markup; (b) liquidity vs solvency; (c) revenue vs cash receipts; (d) guarantee vs standby L/C; (e) consignor vs consignee.
4. A colleague writes: “The customer’s covenants are fine because we hold good collateral.” What confusion does this sentence reveal?

Advanced

5. Read the message below, list every technical term, and rewrite it in plain Arabic for a non-specialist manager. “Bank confirmed the RCF renewal at SOFR + 225 bps, subject to a 3.0× net leverage covenant tested semi-annually and a negative pledge. The CP list includes the audited accounts and a board resolution.”

ANSWER · Set 1 — Solutions

1. **Accrual**: recognising revenue or expense when earned or incurred, not when cash moves — الاستحقاق: تسجيل الإيراد أو المصروف عند تحققه لا عند تحصيله أو دفعه. **Collateral**: an asset pledged to secure a debt — الضمان العيني: أصل مرهون لضمان سداد الدين. **Consignee**: the party to whom goods are shipped — المرسل إليه: الطرف الذي تُشحن إليه البضاعة. **Covenant**: a promise in a loan agreement to do or not do something or to meet financial tests — التعهد: التزام في اتفاقية القرض بالقيام بعمل أو الامتناع عنه أو تحقيق نسب مالية. **Working capital**: current assets minus current liabilities, the funds tied up in daily operations — رأس المال العامل: الأصول المتداولة ناقص الخصوم المتداولة.
2. DSO = Days Sales Outstanding (أيام التحصيل); EBITDA = Earnings Before Interest, Taxes, Depreciation and Amortisation (الأرباح قبل الفوائد والضرائب والإهلاك والإطفاء); UBO = Ultimate Beneficial Owner (المستفيد الحقيقي); L/C = Letter of Credit (الاعتماد المستندي); FOB = Free on Board (التسليم على ظهر السفينة).
3. (a) Margin divides profit by price; markup divides profit by cost. (b) Liquidity is the ability to pay short-term obligations as they fall due; solvency is assets exceeding liabilities over the long term. (c) Revenue is recognised when performance obligations are met; cash receipts are actual collections, which may come earlier (deposits) or later (credit sales). (d) Both are bank undertakings to pay on default; demand guarantees usually follow URDG 758 and local law,

standbys usually ISP98 or UCP 600 and are common in US practice. (e) The consignor sends the goods; the consignee receives them.

4. It confuses **covenants** (behavioural and financial promises that give the lender early warning and control) with **collateral** (an asset to recover from after default). Good collateral does not cure a covenant breach; covenant compliance is assessed separately.
5. Terms: bank confirmation, RCF (revolving credit facility), renewal, SOFR (reference interest rate), 225 bps (2.25%), net leverage covenant (net debt ÷ EBITDA), tested semi-annually, negative pledge, CP (condition precedent), audited accounts, board resolution. Plain Arabic: «وافق البنك على تجديد خط الائتمان المتجدد بسعر فائدة يساوي السعر المرجعي SOFR مضافاً إليه 2.25 أضعاف ثلاثة الدين صافي يتجاوز ألا بشرط ٪، وقبل السحب يجب تقديم .الأرباح التشغيلية قبل الإهلاك، ويُفحص ذلك كل ستة أشهر، وبشرط ألا نرهن أصولنا لجهات أخرى القوائم المالية المدققة وقرار من مجلس الإدارة.»

133.2 Set 2 — Business calculations

PRACTICE · Set 2 — Calculation questions

Easy

1. A product costs 80 and sells for 100. Compute margin and markup.
2. Cost is 65. What price gives a 35% gross margin?

Intermediate

3. A loan of 100,000 at 8% per year is repaid in five equal annual instalments. Compute the instalment and total interest.
4. Revenue grew from 4.0m to 6.5m in four years. Compute the CAGR.

Advanced

5. EUR/USD spot is 1.0800. The 90-day USD rate is 4.5% and the EUR rate 2.5% (actual/360). Compute the 90-day forward rate and explain why it is above spot.
6. Fixed costs are 240,000, price 60 and variable cost 36 per unit. Compute break-even units and the units needed for a profit of 60,000. What is the margin of safety at 15,000 units?

ANSWER · Set 2 — Solutions

1. Profit 20. Margin = 20 ÷ 100 = **20%**; markup = 20 ÷ 80 = **25%**.
2. Price = 65 ÷ (1 − 0.35) = **100**.
3. Instalment = 100,000 × 0.08 ÷ [1 − 1.08^{-5}] = 8,000 ÷ (1 − 0.680583) = 8,000 ÷ 0.319417 = **25,045.65**. Total paid 125,228.25 → total interest **25,228.25**.
4. CAGR = (6.5 ÷ 4.0)^(1/4) − 1 = 1.625^0.25 − 1 = **12.9%**.
5. F = 1.0800 × (1 + 0.045 × 90/360) ÷ (1 + 0.025 × 90/360) = 1.0800 × 1.01125 ÷ 1.00625 = **1.0854**. The currency with the higher interest rate (USD) trades at a forward discount, so more USD are needed per EUR forward: interest-rate parity removes the arbitrage of borrowing EUR and investing USD.
6. Contribution per unit = 24. Break-even = 240,000 ÷ 24 = **10,000 units**. Target profit: (240,000 + 60,000) ÷ 24 = **12,500 units**. Margin of safety at 15,000 units = (15,000 − 10,000) ÷ 15,000 = **33.3%**.

133.3 Set 3 — Accounting

PRACTICE · Set 3 — Accounting questions

Easy

1. Record the journal entries: (a) goods costing 6,000 are sold on credit for 10,000; (b) twelve months' rent of 12,000 is paid in advance — record the payment and the first month's expense; (c) a machine is bought for 50,000 cash, life five years, no residual value — record the purchase and annual depreciation.

Intermediate

2. Revenue 500,000; cost of goods sold 300,000; operating expenses (excluding depreciation) 120,000; depreciation 20,000; interest 10,000; tax rate 20%. Prepare the income statement and compute EBITDA.
3. Using question 2, receivables increased by 15,000, inventory by 10,000 and payables by 8,000. Compute cash flow from operations (indirect method).

Advanced

4. On 1 October a customer pays 36,000 for a twelve-month subscription. Year-end is 31 December. How much revenue is recognised this year and what is on the balance sheet?
5. Receivables ageing: current 150,000 (loss rate 1%); 31–60 days 30,000 (5%); 61–90 days 15,000 (15%); over 90 days 5,000 (50%). Compute the expected credit loss allowance. If last year's allowance was 6,000, what is this year's expense?

ANSWER · **Set 3 — Solutions**

1. (a) Dr Accounts receivable 10,000 / Cr Revenue 10,000; Dr Cost of goods sold 6,000 / Cr Inventory 6,000. (b) Dr Prepaid rent 12,000 / Cr Cash 12,000; month 1: Dr Rent expense 1,000 / Cr Prepaid rent 1,000. (c) Dr Machinery 50,000 / Cr Cash 50,000; each year: Dr Depreciation expense 10,000 / Cr Accumulated depreciation 10,000.
2. Gross profit 200,000; EBITDA = 200,000 − 120,000 = **80,000**; EBIT = 80,000 − 20,000 = 60,000; EBT = 50,000; tax 10,000; **net income 40,000**.
3. CFO = 40,000 + 20,000 − 15,000 − 10,000 + 8,000 = **43,000**.
4. Three months earned: **9,000 revenue**; **deferred revenue (contract liability) 27,000**; cash 36,000.
5. ECL = 1,500 + 1,500 + 2,250 + 2,500 = **7,750**. Expense = increase in allowance = 7,750 − 6,000 = **1,750** (assuming no write-offs during the year; write-offs used against the allowance would increase the expense).

133.4 Set 4 — Company analysis

Data for **Delta Distribution Co.** (fictional, USD millions):

Item	2024	2025
Revenue	40.0	46.0
Cost of goods sold	28.0	33.6
EBITDA	6.0	6.2
Net income	3.0	2.8
Trade receivables	6.6	9.5
Inventory	5.0	7.6
Trade payables	4.0	4.2
Total debt	10.0	16.0
Cash	2.0	1.5

PRACTICE · Set 4 — Company analysis questions

Easy

1. Compute revenue growth and gross margin for both years.

Intermediate

2. Compute DSO, DIO, DPO and the cash conversion cycle for both years (365 days, year-end balances).
3. Compute net debt and net debt/EBITDA for both years.

Advanced

4. Explain the story behind the numbers in five sentences, quantify the working-capital build, and list four questions you would ask management before lending more.

ANSWER · Set 4 — Solutions

1. Growth = 46 ÷ 40 − 1 = **15%**. Gross margin 2024 = 12.0 ÷ 40 = **30.0%**; 2025 = 12.4 ÷ 46 = **27.0%**.
2. 2024: DSO = 6.6 ÷ 40 × 365 = 60.2; DIO = 5.0 ÷ 28 × 365 = 65.2; DPO = 4.0 ÷ 28 × 365 = 52.1; **CCC = 73.3 days**. 2025: DSO = 75.4; DIO = 7.6 ÷ 33.6 × 365 = 82.6; DPO = 4.2 ÷ 33.6 × 365 = 45.6; **CCC = 112.4 days**.
3. Net debt 2024 = 8.0 → **1.33×**; 2025 = 14.5 → **2.34×**.
4. Delta grew 15% but margin fell three points, suggesting growth bought with lower prices or a weaker mix. Customers were given longer credit (DSO +15 days) and inventory built up (DIO +17 days), while supplier credit shortened. Trade working capital rose from 7.6 to 12.9, a **5.3m** cash absorption — nearly twice net income — financed by 6.0m of new debt. Leverage rose from 1.3× to 2.3× EBITDA although EBITDA grew only 3%. Profitable growth is consuming cash. Questions: Which customers drive the DSO increase and are any overdue? Is inventory slow-moving or obsolete? Why did suppliers shorten terms (credit concerns)? What price and mix changes caused the margin decline, and is it reversible?

133.5 Set 5 — Business model analysis

PRACTICE · Set 5 — Business model questions

Easy

1. Identify the main revenue model of: (a) a cloud accounting software firm; (b) an online marketplace for spare parts; (c) a building-materials distributor; (d) a commercial bank.

Intermediate

2. A subscription costs 50 per month with 80% gross margin; monthly churn is 2.5%; CAC is 600. Compute LTV, LTV/CAC and CAC payback.

Advanced

3. A marketplace has GMV of 8m, take rate 10%, payment costs 2.5% of GMV and fixed costs 900,000. (a) Compute contribution and profit. (b) Compute break-even GMV. (c) Management proposes a 12% take rate, expecting GMV to fall 10%. Evaluate.

ANSWER · Set 5 — Solutions

1. (a) Recurring subscription (SaaS); (b) commission / take rate on transactions, possibly plus listing or advertising fees; (c) trading margin on resale plus logistics services; (d) net interest margin plus fees and commissions.

2. Monthly gross profit = 40. LTV = 40 ÷ 0.025 = **1,600**. LTV/CAC = **2.67×** (below the common 3× rule of thumb). Payback = 600 ÷ 40 = **15 months**.
3. (a) Net revenue 800,000; payment costs 200,000; contribution **600,000**; profit **−300,000**. (b) Break-even GMV = 900,000 ÷ (0.10 − 0.025) = **12.0m**. (c) GMV 7.2m; contribution = 7.2m × 9.5% = 684,000; loss falls to −216,000. Financially better in the short term, but risks: sellers moving to competitors (GMV may fall more than 10%), weaker network effects, and break-even GMV at 12% becomes 9.47m — achievable sooner only if liquidity on the platform holds. Recommend testing in one category first.

CHAPTER 134

Exercise Bank II: Banking, Trade Finance, Import-Export, Contracts and Negotiation

LEARNING OBJECTIVES · In this chapter

Practice sets 6–10 with full solutions.

134.1 Set 6 — Banking and credit

PRACTICE · Set 6 — Banking questions

Easy

1. Match each need with the most suitable product: (a) seasonal stock build; (b) a new warehouse to be used for fifteen years; (c) occasional short-term overdrawing; (d) a tender requiring a bid bond.

Intermediate

2. Cash flow available for debt service is 1.5m; interest is 0.4m and principal 0.8m. Compute DSCR. The covenant minimum is 1.20×: by what percentage can CFADS fall before breach?

Advanced

3. A borrower has EBITDA 5m, debt 12m and cash 2m, and requests a further 8m term loan. Bank policy caps net debt/EBITDA at 3.0×. Compute post-deal leverage, the maximum additional debt within policy, and propose a structure.

ANSWER · Set 6 — Solutions

1. (a) Revolving credit facility or import/working-capital loans; (b) amortising term loan (or lease) matching the asset's life; (c) overdraft; (d) bank guarantee (bid bond).
2. DSCR = 1.5 ÷ 1.2 = **1.25×**. Breach when CFADS < 1.44m → maximum fall **4%**. Very thin headroom.
3. Post-deal net debt = 12 + 8 − 2 = 18 → **3.6×**, above policy. Maximum net debt = 15 → additional debt **5m** (assuming the cash balance is kept). Proposal: 5m amortising term loan; the remaining 3m from equity or deferred payment; leverage covenant 3.25× stepping down to 2.75×; cash sweep of excess cash flow; security over the financed assets. Alternatively, approve 8m only with a committed equity injection of 3m as a condition precedent.

134.2 Set 7 — Trade finance

PRACTICE · Set 7 — Trade finance questions

Easy

1. Rank from most to least secure for the exporter: open account, confirmed L/C, documentary collection D/A, advance payment, unconfirmed L/C, documentary collection D/P.

Intermediate

2. An L/C requires: "500 MT white sugar ICUMSA 45, CIF Jebel Ali"; latest shipment 15 March; documents to be presented within 21 days after shipment and within validity; expiry 10 April; insurance for 110% of invoice value. Documents presented on 12 April: B/L shipped on board 18

March; invoice describing “500 MT sugar ICUMSA 45”; insurance certificate for 100% of invoice value. List the discrepancies.

Advanced

3. An exporter receives a 2m USD L/C, 180 days usance, from a bank in a higher-risk country. Options: (a) confirmation at 1.2% p.a. plus discounting at 6.3% p.a. (actual/360); (b) unconfirmed L/C plus credit insurance at 0.8% flat covering 90%, with discounting unavailable. Compute the cost of each and recommend.

ANSWER · Set 7 — Solutions

1. Advance payment → confirmed L/C → unconfirmed L/C → D/P → D/A → open account.
2. (1) Late shipment: on board 18 March vs latest 15 March. (2) Late presentation: 21 days after 18 March is 8 April; presented 12 April — also after expiry 10 April. (3) Invoice description omits “white”; under UCP 600 art. 18(c) the invoice description must correspond with the credit. (4) Insurance under-insured: 100% vs required 110%. The bank will refuse unless the applicant waives; the beneficiary has lost the bank undertaking for this presentation.
3. (a) Confirmation = 2m × 1.2% × 180/360 = **12,000**; discounting = 2m × 6.3% × 180/360 = **63,000**; the exporter receives cash now with no recourse for issuing-bank or country risk (subject to complying documents). (b) Premium **16,000**; 10% (200,000) retained risk; no early cash, so a 2m receivable sits on the balance sheet for six months (funding cost if borrowed at 6.3% ≈ 63,000 anyway). Recommend (a) where liquidity matters and the country risk is high; (b) is cheaper only if the exporter does not need the cash and accepts claims-process risk.

134.3 Set 8 — Import and export operations

PRACTICE · Set 8 — Import-export questions

Easy

1. Under FOB Shanghai (Incoterms® 2020), who pays ocean freight and where does risk pass? Under DAP Riyadh warehouse?

Intermediate

2. FOB value USD 40,000 for 2,000 units; ocean freight 3,200; insurance 150; import duty 5% on CIF; VAT 5% on (CIF + duty), recoverable; port and clearance charges 900; inland transport 400. Compute landed cost per unit.

Advanced

3. A 1,000 kg shipment of 4 m^3 worth USD 60,000 can go by air at USD 4.50/kg chargeable (volumetric factor 6,000) or by sea LCL at USD 90/m^3 plus 300 charges, taking 30 days longer. Cost of capital is 12%. Compare total costs and state when air is justified.

ANSWER · Set 8 — Solutions

1. FOB: buyer pays ocean freight; risk passes when goods are on board the vessel at Shanghai. DAP Riyadh: seller pays carriage to the named place; risk passes when goods are made available on the arriving vehicle, ready for unloading; buyer clears imports and pays duties.
2. CIF = 43,350; duty = 2,167.50; VAT = 5% × 45,517.50 = 2,275.88 (recoverable, so excluded from cost but needs cash flow). Landed cost = 43,350 + 2,167.50 + 900 + 400 = **46,817.50 → USD 23.41 per unit**.
3. Air: volumetric weight = 4,000,000 cm^3 ÷ 6,000 = 667 kg; chargeable 1,000 kg → **4,500**. Sea: 360 + 300 = 660, plus 30 days’ carrying cost 60,000 × 12% × 30/365 = 592 → **1,252**. Sea is cheaper by 3,248. Air

is justified only if the expected lost margin or penalties from the 30-day delay (e.g., stockout, LDs, production stoppage) exceed about **3,250**.

134.4 Set 9 — Contracts

PRACTICE · Set 9 — Contract questions

Easy

1. Name the clause: (a) “Neither party shall be liable for failure to perform caused by events beyond its reasonable control.” (b) “This Agreement shall be governed by the laws of …” (c) “The Seller shall pay 0.5% of the contract price per week of delay.”

Intermediate

2. Identify the weaknesses in: “Seller shall deliver the goods promptly. Payment 60 days. Seller’s liability is unlimited.” Rewrite each element as a seller.

Advanced

3. A 1.2m contract has delay LDs of 0.5% per week capped at 10%. Compute LDs for 9 weeks and for 25 weeks of delay. The buyer’s actual loss for the 25-week delay is 200,000. Discuss what the buyer can recover.

ANSWER · Set 9 — Solutions

1. (a) Force majeure; (b) governing law; (c) liquidated damages for delay.
2. “Promptly” is undefined → specify a delivery date or period and the Incoterms® rule with place. “Payment 60 days” lacks a trigger and currency → “USD, 60 days from B/L date, by bank transfer; late interest at x% p.a.”. Unlimited liability → cap at contract value (or a percentage), exclude indirect and consequential loss, with exceptions for fraud and wilful misconduct.
3. 9 weeks: 4.5% × 1.2m = **54,000**. 25 weeks: 12.5% → capped at 10% = **120,000**. Whether the buyer can recover the extra 80,000 depends on the contract wording (whether LDs are the sole and exclusive remedy for delay) and on governing law: some legal systems allow courts to adjust agreed damages, while common-law systems generally enforce genuine pre-estimates or legitimate-interest clauses. The buyer may also have a termination right after the cap is reached. Legal advice under the governing law is required.

134.5 Set 10 — Negotiation

PRACTICE · Set 10 — Negotiation questions

Easy

1. Define BATNA, reservation price and ZOPA. A seller’s minimum price is 92 and the buyer’s maximum is 100: what is the ZOPA?

Intermediate

2. A buyer of a 500,000 order demands a 5% discount. The seller’s cost of funds is 10%. Instead of the discount, the seller considers offering payment terms of 30 days instead of 60 and a 2% discount. Compare the seller’s cost of the two options.

Advanced

3. Prepare a negotiation plan for renewing a supply contract with a key supplier who announced a 12% price increase. Include objectives, BATNA, issues to trade, concessions plan and opening position.

ANSWER · Set 10 — Solutions

1. BATNA: best alternative if no agreement is reached. Reservation price: the walk-away point. ZOPA: the overlap of acceptable prices — here **92 to 100**.
2. 5% discount = **25,000**. Alternative: 2% = 10,000, but receiving cash 30 days earlier is worth 500,000 × 10% × 30/365 = 4,110, so the net cost is **≈ 5,890**, about 19,110 less than the 5% discount, if the buyer accepts it.
3. Model plan: **Objectives** — hold the increase to ≤ 5%, secure supply, keep 60-day terms. **Facts** — request the supplier's cost breakdown; check index movements for its raw materials and energy. **BATNA** — qualified alternative supplier at +7% landed cost with 3-month switching time; can also hold extra stock. **Their BATNA** — loss of 18% of their volume. **Tradeables** — volume commitment, contract length, forecast sharing, payment terms, price-adjustment formula linked to an index, specification simplification. **Concessions plan** — give a 2-year commitment and forecast visibility in exchange for a lower increase; never concede without getting something. **Opening** — accept index-linked adjustment of 3% now with a formula going forward; target 5%; walk away above 7% (BATNA cost).

CHAPTER 135

Exercise Bank III: Investment, Risk, Management Decisions, Email Writing and Meetings

LEARNING OBJECTIVES · In this chapter

Practice sets 11–15 with full solutions.

135.1 Set 11 — Investment

PRACTICE · Set 11 — Investment questions

Easy

1. A share trades at 45 with EPS of 3.00 and a dividend of 1.20. Compute P/E and dividend yield.

Intermediate

2. Price a 3-year bond with face value 1,000, an annual coupon of 6% and a yield of 7%.
3. A portfolio is 60% equities expected to return 10% and 40% bonds expected to return 4%. Compute the expected return.

Advanced

4. Using question 3, equity volatility is 18%, bond volatility 6% and correlation 0.2. Compute portfolio volatility and comment.
5. A company has EBITDA 20m, net debt 45m and 10m shares. Peers trade at 8× EV/EBITDA. Estimate value per share and its sensitivity to a one-turn change in the multiple.

ANSWER · Set 11 — Solutions

1. P/E = **15×**; dividend yield = 1.20 ÷ 45 = **2.67%**.
2. 60 ÷ 1.07 + 60 ÷ 1.07^2 + 1,060 ÷ 1.07^3 = 56.07 + 52.41 + 865.28 = **973.76** (below par because yield > coupon).
3. 0.6 × 10% + 0.4 × 4% = **7.6%**.
4. Variance = 0.36 × 0.0324 + 0.16 × 0.0036 + 2 × 0.6 × 0.4 × 0.2 × 0.18 × 0.06 = 0.011664 + 0.000576 + 0.002074 = 0.014314 → σ = **11.96%**, below the weighted average of 13.2% thanks to diversification.
5. EV = 160m; equity = 115m → **11.50 per share**. At 7× → 9.50; at 9× → 13.50: each turn moves the share value by **±2.00 (±17%)**, because leverage magnifies the effect on equity.

135.2 Set 12 — Risk management

PRACTICE · Set 12 — Risk questions

Easy

1. Classify each risk: (a) a customer goes bankrupt; (b) the euro strengthens against the dollar before a euro payment; (c) an employee approves his own expense claim; (d) a port strike delays shipments; (e) a new law bans a product.

Intermediate

2. A customer has PD 3%, LGD 60% and exposure 400,000. Compute expected loss. Credit insurance costs 0.5% of exposure and covers 90% of the loss. Is the insurance worth buying?

Advanced

3. A US importer owes EUR 1m in three months. The forward rate is 1.0900. Show the USD cost unhedged at spot 1.05 and 1.15, and hedged. Recommend a hedging policy.

ANSWER · Set 12 — Solutions

1. (a) Credit; (b) FX (market); (c) operational / internal control (segregation of duties); (d) supply chain / operational; (e) regulatory / legal.
2. EL = 0.03 × 0.60 × 400,000 = **7,200**. Insurance premium 2,000; expected recovery 0.9 × 7,200 = 6,480. On expected values the insurance pays (6,480 > 2,000) — and it also protects against the tail (a 240,000 loss) and can support bank financing of the receivable. (Real premiums reflect insurer pricing of PD; if they appear cheap relative to your PD estimate, recheck the estimate.)
3. Unhedged: 1.05 → **1.05m USD**; 1.15 → **1.15m USD**. Hedged: **1.09m USD** in both cases. Policy: hedge committed exposures (e.g., 80–100% of confirmed payables) with forwards; hedge forecast exposures partially (e.g., 50% for 3–6 months), consider options where volume is uncertain; never speculate; review monthly.

135.3 Set 13 — Management decisions

PRACTICE · Set 13 — Management decision questions

Easy

1. Producing 10,000 components in-house costs 18 per unit variable plus 50,000 of fixed costs that would be avoided if production stopped. A supplier offers 21 per unit. Make or buy?

Intermediate

2. A factory has spare capacity. A one-off customer offers to buy 2,000 units at 30; variable cost is 26 and normal price is 40. Should the order be accepted? What could change the answer?

Advanced

3. Capital budget 1.0m. Projects (indivisible): A cost 600k NPV 180k; B 400k NPV 140k; C 500k NPV 160k; D 300k NPV 75k. Select the best portfolio and explain why ranking by profitability index alone fails here.

ANSWER · Set 13 — Solutions

1. In-house relevant cost = 180,000 + 50,000 = 230,000 (23 per unit) vs buy 210,000 → **buy**, saving 20,000 — provided the fixed costs are truly avoidable and quality/supply risks are acceptable.
2. Contribution = (30 − 26) × 2,000 = **+8,000** → accept on financial grounds. The answer changes if regular customers learn of the price and demand the same, if capacity is not really spare, or if the order displaces higher-margin work.
3. Feasible combinations: A+B (1.0m) NPV **320k**; B+C (0.9m) 300k; C+D (0.8m) 235k; A+D (0.9m) 255k; B+D (0.7m) 215k. **Choose A+B.** PI ranking (B 0.35, C 0.32, A 0.30, D 0.25) would pick B then C, using 0.9m and earning 300k; with indivisible projects, unused budget makes greedy PI ranking suboptimal, so compare combinations.

135.4 Set 14 — Business email writing

PRACTICE · Set 14 — Email writing tasks

Easy

1. Rewrite professionally: “hi, we still didnt get the docs u promised, send them asap pls.”

Intermediate

2. Write a first payment reminder for invoice INV-2025-118 (USD 18,400, due 15 days ago) to a valued customer.

Advanced

3. Write an email to a key customer announcing a three-week shipment delay caused by a supplier fire, offering two options, in English, then summarise it in Arabic.

ANSWER · Set 14 — Solutions

Model answers are shown in the training-simulation boxes below. Assessment criteria: clear subject line; purpose in the first two lines; facts (numbers, dates, references); polite but firm tone; specific next step and deadline; no blame language.

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Model answer 1 — Rewritten request

Subject: Outstanding shipping documents — order PO-4471
Dear Mr Haddad,
We have not yet received the shipping documents for order PO-4471 that were due on 3 March. Could you please send the commercial invoice, packing list and bill of lading copy by end of day tomorrow, so that we can begin customs clearance?
Thank you for your help.
Kind regards,
Lina Saeed

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Model answer 2 — First payment reminder

Subject: Friendly reminder — invoice INV-2025-118 (USD 18,400)
Dear Ms Rahman,
I hope you are well. Our records show that invoice INV-2025-118 for USD 18,400, due on 5 May, remains unpaid. It may simply have crossed with your payment run; if so, please disregard this message.
Otherwise, could you let us know the expected payment date? A copy of the invoice is attached for convenience.
Thank you for your continued business.
Best regards,
Omar Khalil — Accounts Receivable

TRAINING SIMULATION · FICTIONAL DOCUMENT · NOT A VALID INSTRUMENT

Model answer 3 — Delay notification with options

Subject: Order SO-2290 — revised delivery schedule and options
Dear Mr Al-Mansouri,
I am writing to inform you that a fire at one of our component suppliers on 12 June will delay shipment of order SO-2290 by approximately three weeks, from 28 June to 19 July. No one was injured, and we have already secured replacement capacity.

To minimise the impact on your operations, we propose two options:
Option A — Partial shipment of 60% of the order by air on 1 July at our cost, with the balance by sea on 19 July.
Option B — Full shipment by sea on 19 July with a 3% credit on the invoice value.
Could you let us know your preference by Friday? I will call you tomorrow to discuss any questions.
We sincerely apologise for the inconvenience and appreciate your understanding.
Kind regards,
Sara Nasser — Key Account Manager
Arabic summary: نعتذر عن تأخر شحن الطلبية ثلاثة أسابيع بسبب حريق لدى أحد الموردين، ونعرض خيارين: شحن جزئي جوي على 3 من قيمة الفاتورة، ونرجو إفادتنا باختياركم قبل يوم الجمعة نفقتنا مع شحن الباقي بحراً، أو شحن كامل بحراً مع خصم ٪.

135.5 Set 15 — Meeting simulations

PRACTICE · Set 15 — Meeting simulation tasks

Easy

1. Draft a 45-minute agenda for a quarterly review meeting with a key supplier.

Intermediate

2. Script the opening and the request in a meeting with your bank relationship manager to increase your working-capital facility from 2m to 3m.

Advanced

3. You present a recommendation to the board to open a distribution subsidiary in a new country. Prepare the structure of a ten-minute presentation and model answers to three difficult questions.

ANSWER · Set 15 — Solutions

1. Agenda (45 min): (1) Welcome and objectives — 5; (2) performance review: OTIF, quality, invoice accuracy — 10; (3) open issues and corrective actions — 10; (4) forecast for next two quarters and capacity — 10; (5) price and cost-index review — 5; (6) actions, owners and dates — 5.
2. See the dialogue below.
3. Structure: (1) recommendation in one sentence and the decision requested; (2) the opportunity — market size, customers, why now; (3) the plan — entity, team, phasing; (4) financials — investment, break-even, NPV/IRR, funding; (5) risks and mitigations; (6) alternatives considered (distributor, agent, JV) and why rejected; (7) decision and next steps. Model answers to difficult questions are in the second dialogue below.

DIALOGUE · Model dialogue — Facility increase meeting

Treasurer: Thank you for meeting us. Our purpose today is to discuss increasing our working-capital line from 2 million to 3 million ahead of the new distribution contract.
Relationship manager: Happy to discuss. What is driving the need?
Treasurer: The new contract adds about 9 million of annual revenue on 60-day terms. Our cash-flow forecast shows a peak additional requirement of 0.9 million in the fourth quarter; we have prepared the 13-week forecast and the contract summary.
Relationship manager: How does this affect your covenants?
Treasurer: Net leverage rises from 1.6 to 1.9 times at the peak, against a 3.0 covenant, and falls back below 1.7 by year-end as receivables convert.
Relationship manager: Would you consider assigning the receivables from the new customer?
Treasurer: Yes, we are open to that if it improves the pricing. Could you indicate the timeline and information you will need for credit approval?

DIALOGUE · Model dialogue — Board questions

Board member: What happens if sales are 30% below plan?
Presenter: Break-even moves from year 2 to year 3, and the cumulative cash need rises from 1.8 million to 2.4 million, still within the approved funding envelope. We have defined a stop-loss review at month 18 if revenue is below 60% of plan.
Board member: Why not continue with the distributor?
Presenter: The distributor covers only one region and earns a 25% margin we could capture; our analysis shows the subsidiary creates more value from year 3 and gives us control of key accounts. We keep the distributor in the north during the transition.
Board member: What is the biggest risk you are worried about?
Presenter: Hiring a capable country manager. We have two candidates in the final stage, and the launch is conditional on that appointment.

ROADMAP

Learning Roadmap and Final Assessment

خطة التعلّم والتقييم النهائي

This part turns the collection into a structured six-month programme for a graduate who studies alongside work or a job search, followed by a final assessment covering nine competencies.

Chapters in this part

Chapter 136 The Six-Month Learning Roadmap 69
Chapter 137 Final Assessment 74

CHAPTER 136

The Six-Month Learning Roadmap

LEARNING OBJECTIVES · In this chapter

A 26-week plan with weekly objectives, study time, chapters, terminology targets, exercises, cases, reviews, self-assessments and projects, plus guidance on separating academic knowledge from practical skill.

136.1 Design of the programme

- **Time budget:** 8–10 hours per week (about 90 minutes on weekdays plus a longer weekend session). Weeks marked *review* are lighter (5–6 hours).
- **Weekly rhythm:** read and annotate (40%), terminology drill EN/AR (15%), exercises (25%), case or document work (20%).
- **Terminology target:** about 25–40 new terms a week, totalling roughly 800 terms by week 26. Use the Volume 10 glossary to make flashcards; review with spaced repetition (day 1, 3, 7, 21).
- **Monthly checkpoint:** score yourself with the personal knowledge assessment framework in Part XXIII and adjust the next month.

NOTE · Academic knowledge vs practical skill

Each week below separates **Academic** objectives (understand concepts, definitions, models — what exams test) from **Practical** objectives (produce something a manager, bank or client would use: a calculation, a document, an email, a recommendation). Employers judge mainly the practical column; the academic column makes it reliable.

136.2 Month 1 — The language and the map of business

Week	Hours	Chapters	Academic objective	Practical objective	Terms	Exercises / cases	Project / self-test
1	9	Volume 1 front matter (How to Use This Encyclopedia; The Map of Business); Chapter 1 (Volume 1)	How value, money and information flow through a firm	Explain a company's business in five sentences EN/AR	40 core terms	Chapter exercises; Set 1 easy	Start a personal glossary file
2	9	Chapter 2 (Volume 1); Chapter 3 (Volume 1); Chapter 4 (Volume 1)	Corporate, accounting and finance vocabulary	Translate a press release paragraph	40	Set 1 intermediate	Flashcards for weeks 1–2
3	9	Chapter 5 (Volume 1); Chapter 6 (Volume 1); Chapter 7 (Volume 1); Chapter 8 (Volume 1)	Banking, economic, commercial and trade terms	Read a bank facility letter and list its terms	40	Set 1 advanced	—
4	9	Chapter 9 (Volume 1); Chapter 10 (Volume 1); Chapter 11 (Volume 1); Chapter 12 (Volume 1)	Distinctions between confused concepts	Explain 10 confused pairs aloud without notes	40	Confused-concepts drills	**Self-test 1:** 100-term quiz (target ≥ 80%)

136.3 Month 2 — How businesses work and how they are measured

Week	Hours	Chapters	Academic objective	Practical objective	Terms	Exercises / cases	Project / self-test
5	9	Chapter 13 (Volume 2); Chapter 14 (Volume 2); Chapter 15 (Volume 2)	Business models, revenue and cost structures	Draw the business model of a listed company	30	Set 5 easy/ intermediate	—
6	9	Chapter 16 (Volume 2); Chapter 17 (Volume 2); Chapter 18 (Volume 2)	Industry economics and failure modes	Compare two industries' economics	30	Set 5 advanced	—
7	10	Chapter 19 (Volume 2); Chapter 20 (Volume 2); Chapter 21 (Volume 2)	Double entry, accruals, recognition	Post 30 journal entries and a trial balance	30	Set 3 easy	—
8	10	Chapter 22 (Volume 2); Chapter 23 (Volume 2)	Linking the three statements	Build a three-statement model for a small company in a spreadsheet	30	Set 3 intermediate/ advanced	**Self-test 2;** monthly self-score

136.4 Month 3 — Analysis, corporate finance and economics

Week	Hours	Chapters	Academic objective	Practical objective	Terms	Exercises / cases	Project / self-test
9	10	Chapter 24 (Volume 2); Chapter 25 (Volume 2); Chapter 26 (Volume 2)	Ratios, budgets and controls	Ratio analysis of a real annual report	30	Set 4	**Project 1:** two-page company analysis memo
10	10	Chapter 27 (Volume 3); Chapter 28 (Volume 3); Chapter 29 (Volume 3)	TVM, NPV, IRR, WACC	Evaluate a capex proposal	25	Set 2; Set 13 advanced	—
11	10	Chapter 30 (Volume 3); Chapter 31 (Volume 3); Chapter 32 (Volume 3); Chapter 33 (Volume 3); Chapter 34 (Volume 3)	Forecasting, valuation, M&A	Build a simple DCF and multiples valuation	30	Calculation chapters in Part XX	—
12	9	Chapter 35 (Volume 3); Chapter 36 (Volume 3); Chapter 37 (Volume 3); Chapter 38 (Volume 3); Chapter 39 (Volume 3)	Macro drivers and transmission	Explain a central-bank decision's effect on a borrower	30	Reading macro news chapter	**Self-test 3** (*review week*)

136.5 Month 4 — Banking, international trade and treasury

Week	Hours	Chapters	Academic objective	Practical objective	Terms	Exercises / cases	Project / self-test
13	10	Chapter 44 (Volume 4); Chapter 45 (Volume 4); Chapter 46 (Volume 4)	Bank economics and credit analysis	Draft a short credit memo	30	Set 6	—

Week	Hours	Chapters	Academic objective	Practical objective	Terms	Exercises / cases	Project / self-test
14	10	Chapter 47 (Volume 4); Chapter 48 (Volume 4); Chapter 49 (Volume 4); Chapter 50 (Volume 4); Chapter 51 (Volume 4)	Facilities, payments, compliance	Map a company's needs to bank products	30	Banking cases (Part XIX)	—
15	10	Chapter 52 (Volume 4); Chapter 53 (Volume 4); Chapter 54 (Volume 4); Chapter 55 (Volume 4)	Incoterms, documents, customs	Prepare a document set for a sample shipment	30	Set 8	—
16	10	Chapter 56 (Volume 4); Chapter 57 (Volume 4); Chapter 58 (Volume 4); Chapter 59 (Volume 4); Chapter 60 (Volume 4); Chapter 61 (Volume 4)	L/Cs, risk, FX	Check an L/C presentation for discrepancies; design an FX hedge	30	Set 7; Set 12 advanced	**Project 2:** full import transaction file; monthly self-score

136.6 Month 5 — Commerce, operations, markets and risk

Week	Hours	Chapters	Academic objective	Practical objective	Terms	Exercises / cases	Project / self-test
17	9	Chapter 62 (Volume 5); Chapter 63 (Volume 5); Chapter 64 (Volume 5); Chapter 65 (Volume 5); Chapter 66 (Volume 5); Chapter 67 (Volume 5); Chapter 68 (Volume 5)	Sales, pricing, negotiation	Write a commercial proposal; plan a negotiation	30	Set 10	—
18	9	Chapter 69 (Volume 5); Chapter 70 (Volume 5); Chapter 71 (Volume 5); Chapter 72 (Volume 5); Chapter 73 (Volume 5)	Procurement and logistics	Landed-cost model for an import	30	Set 8 advanced	—
19	9	Chapter 78 (Volume 6); Chapter 79 (Volume 6); Chapter 80 (Volume 6); Chapter 81 (Volume 6); Chapter 82 (Volume 6); Chapter 83 (Volume 6); Chapter 84 (Volume 6)	Markets, valuation, portfolios	Write a one-page investment thesis	30	Set 11	—
20	9	Chapter 85 (Volume 6); Chapter 86 (Volume 6); Chapter 87 (Volume 6); Chapter 88 (Volume 6); Chapter 89 (Volume 6); Chapter 90 (Volume 6); Chapter 74 (Volume 5); Chapter 75 (Volume 5); Chapter 76 (Volume 5); Chapter 77 (Volume 5)	Commodities, insurance, ERM	Build a deal P&L; draft a risk register	30	Set 12	**Self-test 4;** monthly self-score

136.7 Month 6 — Law, management, technology, communication and integration

Week	Hours	Chapters	Academic objective	Practical objective	Terms	Exercises / cases	Project / self-test
21	9	Chapter 94 (Volume 7); Chapter 95 (Volume 7); Chapter 96 (Volume 7); Chapter 97 (Volume 7)	Legal principles (jurisdiction caveats)	Review a supply contract with a clause checklist	30	Set 9	—
22	9	Chapter 98 (Volume 7); Chapter 99 (Volume 7); Chapter 100 (Volume 7); Chapter 101 (Volume 7); Chapter 102 (Volume 7); Chapter 103 (Volume 7); Chapter 104 (Volume 7); Chapter 105 (Volume 7); Chapter 106 (Volume 7)	Strategy and management tools	Write a one-page strategy and KPI set	30	Set 13	—
23	9	Chapter 107 (Volume 7); Chapter 108 (Volume 7); Chapter 109 (Volume 7); Chapter 110 (Volume 7); Chapter 111 (Volume 7); Chapter 112 (Volume 7)	Systems, data, AI	Automate one analysis in Python or SQL	25	Hands-on chapter tasks	**Project 3:** data dashboard of a company's KPIs
24	9	Chapter 113 (Volume 8); Chapter 114 (Volume 8); Chapter 115 (Volume 8); Chapter 116 (Volume 8); Chapter 117 (Volume 8); Chapter 91 (Volume 6); Chapter 92 (Volume 6); Chapter 93 (Volume 6)	Communication and reading discipline	Write three emails and an executive summary; summarise a results release	40 phrases	Sets 14–15	—
25	9	Chapter 118 (Volume 8); Chapter 119 (Volume 8); Chapter 120 (Volume 8); Chapter 121 (Volume 8); Chapter 122 (Volume 8); Chapter 123 (Volume 8); Chapter 124 (Volume 8); Chapter 125 (Volume 8)	Integrating disciplines in deals	Restructure one case under new assumptions	20	Case questions	**Capstone project** (below)
26	6	Review of weak areas; Document Library	Consolidation	Complete the final assessment under time limits	Review	Final assessment	Final self-score and next-six-months plan (*review week*)

136.8 Capstone project

Choose a real listed company in an industry you want to work in and produce, using public information only: (1) a two-page business and financial analysis with ratios for three years; (2) a simple DCF and peer-multiple valuation; (3) a mock credit memo for a facility request; (4) a trade transaction file for one of its typical import or export flows (Incoterms, documents, payment method, landed cost); (5) a risk register with ten risks; (6) a five-slide executive presentation and a cover email in English, with an Arabic executive summary. Have a professional review it if possible.

136.9 Reviews and self-assessments

- **Weekly (30 minutes):** redo three exercises from the previous week without notes; review flashcards due.
- **Monthly (2 hours):** self-test (terms + calculations + one case question), then score the knowledge framework.
- **After each project:** compare against the assessment criteria in the relevant chapter and the Document Library templates; list three improvements.

CHAPTER 137

Final Assessment

LEARNING OBJECTIVES · In this chapter

A comprehensive assessment of nine competencies — business vocabulary, financial literacy, accounting, banking, international trade, investment analysis, risk assessment, business communication and strategic decision-making — with an answer key and scoring guide.

137.1 Instructions

Allow **three hours**. Use a calculator; do not use notes. Each section is worth 20 marks (total 180). Grades: ≥ 150 excellent; 120–149 competent; 90–119 developing; < 90 repeat the weakest months of the roadmap. All companies and figures are fictional.

137.2 Questions

PRACTICE · Section A — Business vocabulary (20 marks)

1. Define and translate into Arabic: (a) deferred revenue; (b) negative pledge; (c) demurrage; (d) take-or-pay; (e) basis point. (10)
2. Explain the difference in each pair: (a) EBITDA vs operating cash flow; (b) bill of lading vs sea waybill; (c) hedging vs speculation; (d) gross vs net leverage; (e) recourse vs non-recourse factoring. (10)

PRACTICE · Section B — Financial literacy (20 marks)

3. A product costs 42. What price gives a 30% margin? What markup is that? (4)
4. 250,000 is invested at 6% compounded annually for 5 years. Find the final value. (4)
5. A loan of 60,000 at 9% for 90 days on actual/360. Compute interest. (4)
6. Fixed costs 180,000; price 50; variable cost 30. Compute break-even units and operating leverage at 12,000 units. (8)

PRACTICE · Section C — Accounting (20 marks)

7. Record the entries: goods bought on credit 20,000; sold half for 16,000 cash; paid supplier 12,000. (6)
8. Net income 120,000; depreciation 40,000; receivables up 30,000; inventory down 10,000; payables down 5,000. Compute CFO. (6)
9. Explain why a profitable company can run out of cash, giving two mechanisms and the statement where each appears. (8)

PRACTICE · Section D — Banking (20 marks)

10. A company has EBITDA 8m, debt 26m, cash 4m and annual debt service of 5m; CFADS is 6.5m. Compute net leverage and DSCR. (6)
11. Covenants are net leverage ≤ 3.0× and DSCR ≥ 1.25×. By what percentage can EBITDA fall before the leverage covenant is breached (debt constant)? (6)

12. Recommend a facility structure for a distributor with seasonal inventory peaks and a planned warehouse purchase. (8)

PRACTICE · Section E — International trade (20 marks)

13. Under CIF Jebel Ali, who arranges insurance, and to what minimum cover under Incoterms® 2020? Where does risk pass? (6)
14. FOB 80,000; freight 6,000; insurance 300; duty 5% on CIF; clearance 1,200; units 4,000. Compute landed cost per unit (VAT recoverable). (6)
15. An L/C demands shipment by 30 June and presentation within 21 days of shipment; the B/L is dated 28 June, documents presented 22 July. Is there a discrepancy? What can the beneficiary do? (8)

PRACTICE · Section F — Investment analysis (20 marks)

16. Price a 2-year 5% annual-coupon bond (face 1,000) at a 6% yield. (6)
17. EBITDA 30m; net debt 60m; 20m shares; peer EV/EBITDA 7×. Value per share? (6)
18. Explain why two companies with the same P/E may deserve different valuations. Give three reasons. (8)

PRACTICE · Section G — Risk assessment (20 marks)

19. PD 2%, LGD 50%, EAD 1.5m. Compute EL. (4)
20. An exporter will receive EUR 2m in 6 months; the EUR/USD forward is 1.1000. Compute USD proceeds hedged and unhedged at 1.05 and 1.15; recommend. (8)
21. Build a five-line risk register for a new import business (risk, cause, impact, likelihood, response). (8)

PRACTICE · Section H — Business communication (20 marks)

22. Write an email (≤ 150 words) to a supplier rejecting a 9% price increase and proposing a meeting. (10)
23. Give the Arabic equivalent of: “Please find attached”, “at your earliest convenience”, “subject to contract”, “we regret to inform you”, “going forward”. (5)
24. Write a three-sentence executive summary of the Section D company’s situation. (5)

PRACTICE · Section I — Strategic decision-making (20 marks)

25. A competitor cuts prices by 10%. Your gross margin is 35% and demand elasticity for your product is estimated at −1.5. Should you match? Show the effect on gross profit of matching (assume volume restored) vs not matching (lose 15% of volume). (10)
26. Recommend whether a Gulf-based trading firm should enter a new market through an agent, a distributor or a subsidiary. State your criteria and decision. (10)

137.3 Answer key

ANSWER · Sections A–C

1. (a) Cash received before revenue is earned; a liability — إيراد مؤجل. (b) Borrower’s promise not to grant security over its assets to other creditors — تعهد بعدم رهن الأصول. (c) Charge for keeping a

carrier's container or vessel beyond free time — غرامة التأخير. (d) Buyer pays for minimum quantity whether taken or not — الاستلام أو الدفع. (e) 0.01% — نقطة أساس. (2 each)

2. (a) EBITDA ignores working capital, tax and interest timing; operating cash flow includes them. (b) A B/L to order is a document of title and negotiable; a sea waybill is not. (c) Hedging offsets an existing exposure; speculation creates exposure for profit. (d) Gross leverage uses total debt; net leverage deducts cash. (e) With recourse, the seller bears buyer default; without, the factor does. (2 each)
3. Price = 42 ÷ 0.70 = **60**; markup = 18 ÷ 42 = **42.9%**.
4. 250,000 × 1.06^5 = 250,000 × 1.338226 = **334,556**.
5. 60,000 × 0.09 × 90/360 = **1,350**.
6. Contribution 20 → break-even **9,000 units**. At 12,000: contribution 240,000, EBIT 60,000 → DOL **4.0×**.
7. Dr Inventory 20,000 / Cr AP 20,000; Dr Cash 16,000 / Cr Revenue 16,000 and Dr COGS 10,000 / Cr Inventory 10,000; Dr AP 12,000 / Cr Cash 12,000.
8. CFO = 120,000 + 40,000 − 30,000 + 10,000 − 5,000 = **135,000**.
9. Examples: growth tying up cash in receivables and inventory (cash-flow statement, working-capital lines; balance sheet); capital expenditure or debt repayment exceeding operating cash (investing and financing sections); revenue recognised before cash collected (income statement vs cash flow). (4 per mechanism)

ANSWER · Sections D–F

10. Net debt 22m → **2.75×**; DSCR = 6.5 ÷ 5 = **1.30×**.
11. Breach when EBITDA < 22 ÷ 3 = 7.33m → fall of **8.3%**.
12. Revolving credit facility (or borrowing-base facility on inventory and receivables) sized to the seasonal peak, with clean-down or borrowing-base controls; separate amortising term loan or mortgage for the warehouse matched to its life; trade lines (L/C, import loans) for supplier purchases; covenants on leverage and DSCR. (Marks for matching tenor to use and for security/controls.)
13. Seller arranges insurance; minimum cover Institute Cargo Clauses (C) at 110% of the contract value; risk passes on board the vessel at the port of shipment (not Jebel Ali). (2 each)
14. CIF 86,300; duty 4,315; landed = 86,300 + 4,315 + 1,200 = 91,815 → **22.95 per unit**.
15. Presentation deadline is 19 July (21 days after 28 June); 22 July is late (assuming the credit is still valid, presentation after the period is a discrepancy). The beneficiary can ask the applicant to waive via the issuing bank, or send the documents on a collection basis; payment then depends on the applicant. (8)
16. 50 ÷ 1.06 + 1,050 ÷ 1.1236 = 47.17 + 934.50 = **981.67**.
17. EV 210m; equity 150m → **7.50 per share**.
18. Differences in growth prospects, risk (leverage, cyclicality), return on capital and cash conversion, accounting quality, and one-off items in earnings. (Any three well explained.)

ANSWER · Sections G–I

19. EL = 0.02 × 0.5 × 1.5m = **15,000**.
20. Hedged: **2.20m USD**. Unhedged: at 1.05 → 2.10m; at 1.15 → 2.30m. Recommend hedging most of the committed receivable with a forward (or an option if the receipt is uncertain), because the firm's margin should not depend on FX. (8)
21. Example lines: supplier non-delivery (advance paid) → loss of deposit → medium/high → L/C or staged payments; FX on USD purchases → margin erosion → high → forwards; customs

misclassification → penalties/delays → medium → broker review, binding ruling; customer non-payment → bad debt → medium → credit limits, insurance; shipping delays/demurrage → cost and stockouts → medium → buffer stock, free-time negotiation. (Marks for causes, impact and specific responses.)

22. Criteria: polite opening, clear rejection with reasons (index data, volume history), counter-proposal or willingness to discuss, specific meeting proposal with dates, professional close. (10)
23. «مرفق طيه»، «في أقرب وقت ممكن لكم»، «رهناً بإبرام العقد»، «نأسف لإبلاغكم»، «من الآن فصاعداً». (1 each)
24. Example: “The company’s net leverage is 2.75× and DSCR 1.30×, both within covenants but with limited headroom: an 8% EBITDA decline would breach the leverage covenant. We recommend no additional debt until EBITDA grows or cash builds, and close monitoring of quarterly results. Any new facility should include a cash sweep.” (5)
25. Base: price 100, cost 65, gross profit 35 per unit. Match: price 90, GP 25 per unit, volume restored → GP falls **28.6%**. Not matching: GP 35 on 85% of volume = 29.75 → GP falls **15%**. Not matching is better on these numbers, unless losing volume damages scale, customer relationships or long-term share; respond with value arguments, targeted offers to at-risk customers, and cost reduction. (10)
26. Criteria: market size and certainty, control needs, investment and risk appetite, speed, local legal requirements (some countries restrict foreign ownership or protect commercial agents — jurisdiction-specific), knowledge of the market. Typical decision: start with a distributor or agent to test demand at low investment, with KPIs and a termination path that respects local agency law; move to a subsidiary when volume and margins justify fixed costs. (Marks for reasoning, not for a particular choice.)

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